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GRAB HOLDINGS

NASDAQ
(NASDAQ: GRAB)

Sector: Technology
Sub-Industry: Digital/on-Demand Services
As of 7th Jan 2026

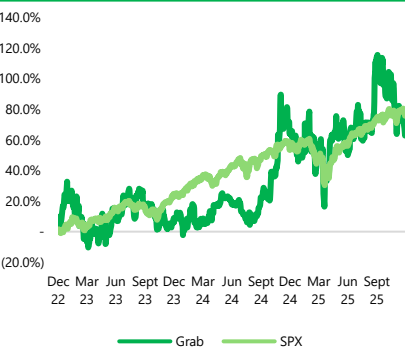
Current Price: USD 5.27
Target Price: USD 7.20
Upside: 36.6%

Grab
Recommendation:
BUY

Figure 1: Key Company Data

RECOMMENDATION		BUY
Valuation Date		6.1.2026
Target Price	USD	7.20 USD
Current Price*	USD	5.27 USD
Upside	%	36.6%
Basic Shares Outstanding	MNS	4,070.30
52 Week High	USD	6.62 USD
52 Week Low	USD	3.36 USD

Figure 2: 3Y Share Price Performance Against SPX (Rebased to Dec 2022)



Source: S&P Capital IQ

Figure 3: Events & Reactions

Period	Reaction	Event
Mar 2022	-37%	Reporting of large quarterly loss from costs related to going public
Nov 2024	+10%	Grab raised its FY24A revenue forecast and beat previous estimates
Nov 2025	+6%	Strategic partnership with Vay Technologies for AVs

Figure 4: Key Financial Data

Key Financials (USD Mns)	FY20A	FY21A	FY22A	FY23A	FY24A	FY25E	FY26E	FY27E	FY28E	FY29E
Revenue	469.0	675.0	1,433.0	2,359.0	2,797.0	3,447.2	4,242.2	5,260.5	6,524.3	8,096.0
Revenue Growth (% YoY)	-	43.9%	112.3%	64.6%	18.6%	23.2%	23.1%	24.0%	24.0%	24.1%
Gross Profit	(494.0)	(395.0)	77.0	860.0	1,174.0	1,533.1	1,992.7	2,602.6	3,390.9	4,410.2
EBITDA	(900.0)	(1,498.0)	(1,410.0)	(215.0)	166.0	440.9	699.5	1,062.5	1,465.3	2,067.7
Net Income	(2,608.0)	(3,449.0)	(1,683.0)	(434.0)	(105.0)	124.4	331.6	627.5	1,045.2	1,627.2
Key Metrics	FY20A	FY21A	FY22A	FY23A	FY24A	FY25E	FY26E	FY27E	FY28E	FY29E
Gross Profit Margin	(105.3%)	(58.5%)	5.4%	36.5%	42.0%	44.5%	47.0%	49.5%	52.0%	54.5%
EBITDA Margin	(191.9%)	(221.9%)	(98.4%)	(9.1%)	5.9%	12.8%	16.5%	20.2%	22.5%	25.5%
Net Income Margin	(556.1%)	(511.0%)	(117.4%)	(18.4%)	(3.8%)	3.6%	7.8%	11.9%	16.0%	20.1%

EXECUTIVE SUMMARY

We initiate coverage on **Grab Holdings Limited (NASDAQ: GRAB)** with a **BUY** recommendation based on a 12-month target price of **\$7.20**, implying a **+36.6% upside** to the last close of **\$5.27** as of 6th January 2026 (**Figure 1**). Our valuation is derived from a weighted blend of discounted cash flow and relative valuation (utilising the sum-of-the-parts methodology). Valuations were sense checked using a combination of Monte Carlo Analysis and discounted cash flow sensitivity analysis.

Grab is a Southeast Asian (SEA) platform that provides mobility, delivery and financial services. Grab's share price performance over the past 3 years has been poor, a reflection of the markets concerns regarding its profitability, which we believe are overblown. We see significant structural tailwinds for Grab, which remain under recognised by the street (**Figure 2**). We believe the market continues to underestimate Grab's ability to scale its mobility segment, deliver higher margins and sustainable cost cutting measures. Together, these drivers should sustain earnings resilience, allowing the company to turn profitable and catalyse a further increase in its valuation multiple and market positioning over the next 12-18 months.

Thesis 1: Growth Via Structural Tourism Monetisation

The street views **tourism as a cyclical tailwind** within the broader post pandemic recovery as opposed to a distinct, structural driver of long term valuation. We see this as a **key driver of high margin growth** that will position Grab to **capture ongoing uplift in tourism demand** improve unit economics. This is supported by the companies attempt to establish a "Travel Super-app" moat. With tourists being more **price-inelastic** due to their preference for convenience, they exhibit higher spending and premium service usage, making them a higher-margin user segment. Southeast Asia's tourism recovery remains robust, **with Chinese tourism a key driver**. **Chinese outbound travel is forecasted to grow at a CAGR of 13.6%**, supported by favourable visa policies and sustained inbound travel growth. Grab is well positioned to deepen penetration and monetisation of this segment through its super-app ecosystem. Its **partnerships** with Chinese payment services lower payment friction for Chinese tourists, allowing the company to integrate their services directly into familiar platforms, driving incremental, high margin Gross Merchant Value (GMV). Strategic partnerships and app perks also encourage tourist usage, allowing Grab to boost usage density through cross-vertical monetisation.

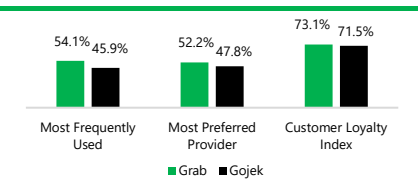
Thesis 2: Efficiency From Pricing Discipline

The street has concerns over the sustainability of Grab's margins as they fear **fierce competition re-igniting incentive wars**. However, we believe that **promotional wars are structurally less likely to return** as SEA food delivery platforms have **exited the growth-at-all-cost phase** with incentive spend as % of GMV down ~300-400bp from its FY21A pea). Despite high price sensitivity among users, rationalised competition has reduced the need for price wars, insulating margins from race-to-the-bottom dynamics. On the regulatory side, Grab faces pricing caps, delivery fee floors and tighter scrutiny of discounting practices, which limit extreme price competition, place a floor under take-rates and reduces the downside risk. Operational scale also compounds unit economic gains, with rising restaurant density shortening delivery distances, improving batching and raising order density, structurally lowering costs. Finally, margin has expanded even as incentive spend as a share of GMV has fallen with incentives rising only **7% as GMV rose 24% YoY in 3Q25**. GMV growth remains resilient, signalling healthy underlying demand through ecosystem stickiness and cost discipline, supporting margin scalability.

Thesis 3: Mobility Expansion Beyond Competitive Share Gains

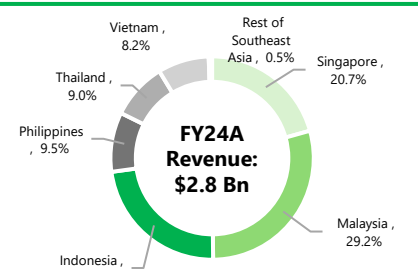
The street attributes Grab's mobility growth to share gains. However, we see **MTUs rising 17% YoY and GMV rising 20% YoY in FY24A** pointing to a structural shift of ride-hailing becoming a larger, more embedded part of Southeast Asia's transport system rather than a reshuffle of market share. As ride-hailing penetrates deeper into the regional transport mix, rise mechanically through higher usage frequency and default demand capture, improving unit economics without relying on aggressive pricing or share battles. Importantly, this dynamic benefits disproportionately, as incremental volume scales across a largely fixed-cost platform, amplifying operating leverage over time. These market share gains are catalysed by a mix of supportive regulatory policies, rising urbanization, smartphone penetration and structurally weak public transport infrastructure. As such, ride-hailing's share of the total transportation market continues to increase, driving MTU and GMV growth regardless of whether Grab's competitive market share expands or not. This structural uplift in ride-hailing adoption creates a durable, underappreciated growth tailwind beyond current street expectations.

Figure 5: Consumer Preferences & User Patterns



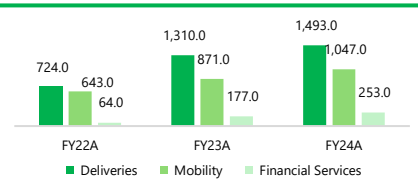
Source: ResearchGate

Figure 6: Revenue Distribution by Geography



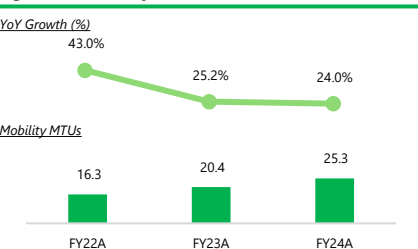
Source: Company Filings

Figure 7: Segment Growth (USD Mns)



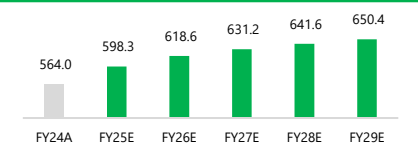
Source: Company Filings

Figure 8: Mobility MTUs (in Millions)



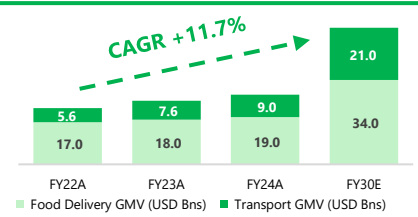
Source: Company Filings

Figure 9: Internet Users in SEA (in Millions)



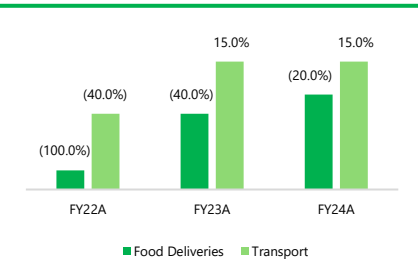
Source: Company Filings

Figure 10: Mobility & Deliveries GMV (USD Bns)



Source: Bain, Google, Temasek

Figure 11: EBITDA Margins For ODS Services in SEA



Source: Team Analysis

Company Description

Grab Holdings Limited is Southeast Asia’s (SEA) leading super-app (Figure 5, 12), offering ride-hailing, food delivery, digital payments and financial services. Founded in 2012, it operates in over 500 cities across 8 countries (Figure 6), enabling everyday services through a single platform. The company operates through three primary business segments – 1. **Mobility**, 2. **Deliveries** and 3. **Financial Services**, leveraging a cohesive “flywheel” strategy where user engagement in one service drives usage in others. Grab’s diverse and growing revenue mix (Figure 7) has strongly benefitted from the recovery of mobility post pandemic and a reduction in incentives, allowing for a stronger backdrop to encourage growth. As such, Grab is often viewed as a long-term value creator, supported by diversified business drivers across SEA’s digital economy.

Business Model Analysis

Grab’s business strategy centres on improving the **multi-vertical super-app ecosystem** that maximises user engagement, cross-utilisation, and operational efficiency across the key revenue segments, monetising demand across its three core segments. **Mobility** generates its revenue primarily through **commissions** on ride transactions, with monetisation driven by ride **volumes, pricing and take-rates**. **Deliveries** monetise through a **combination of commissions, delivery fees and merchant advertising**, supported by higher order frequency and expanding use cases such as groceries and parcels. **Financial Services** monetises via fee and interest income from **digital banking, lending, payments and insurance products** through GXS Bank and GrabFin, offering a higher-margin, scalable revenue stream as adoption deepens within the ecosystem. Beyond segment-level monetisation, Grab’s business model is reinforced by **cross-segment synergies** enabled by its integrated super-app ecosystem. Shared users, merchants and drivers lower customer acquisition costs, while cross-selling across mobility, deliveries and financial services increases engagement and lifetime value. Data-driven personalisation, unified payments infrastructure and loyalty programmes further enhance monetisation efficiency across segments, allowing Grab to compound growth without a proportional increase in operating costs. These strategic strengths and execution advantages are further assessed through a SWOT analysis in our appendix (Annex 4.1).

Grab operates as a **fundamentally volume-driven business**, where **scale is the core engine of revenue and margin expansion**. While average selling prices (ASPs) have risen modestly in line with industry peers, Grab’s users remain highly **price-elastic**, particularly in **Mobility and Deliveries** where switching costs are low and substitutes are abundant, limiting the scope for significant unit-price increases without risking market share erosion. Grab relies on marketplace depth and product differentiation. Grab adopts **technological-driven strategies** such as dynamic pricing which help balance driver supply and consumer demand in real time, improving service reliability. Through providing superior service quality and reliability, Grab can defend pricing and margins without being forced into a race-to-the-bottom on price. Grab’s strategy focuses on capturing and retaining market share through superior liquidity and a large network of merchant- and driver-partners, which improves fulfilment quality, unit economics, and reduces the need for broad-based incentive campaigns.

Revenue and Cost Drivers

Grab’s revenue is driven by three core segments. Mobility, which generated **US\$1.05Bn in FY24A (Figure 7)**, earns commissions on ride transactions and is primarily driven rising urbanisation (Annex 4.7.1), tourism recovery and increasing mobility demand linked to income growth across the region. While tourism recovery and improving macroeconomic conditions lifted mobility MTUs (Figure 8), demand remains sensitive to pricing, weather and seasonality. Driver incentives remain the largest cost, although Grab has reduced incentive intensity through algorithm-driven optimisation, alongside costs from insurance, regulatory and platform costs. Deliveries, contributing **US\$1.49Bn in FY24A (Figure 7)**, driven through commissions, delivery fees and merchant advertising, supported by structural shifts toward convenience, higher digital penetration and rising consumption, with expansion into groceries and parcels. Profitability is driven by order density, batching efficiency and delivery-partner compensation, with promotions offering diminishing returns as competition rationalises. Financial Services tripled revenue to **US\$253m in FY24A (Figure 7)**, supported by financial inclusion tailwinds and growing digital payments adoption. Revenue growth is supported by loan book expansion, improving monetisation of payments and insurance, and higher fee and net interest income as user engagement deepens within the super-app ecosystem, while costs are driven by credit losses, funding, compliance and technology, making performance sensitive to portfolio mix and macro conditions.

Industry Overview – Mobilities & Deliveries

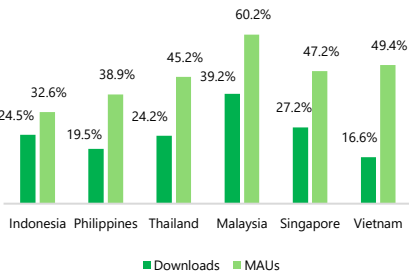
Increasing Digitalisation and Urbanisation of SEA: The rising smartphone and internet user penetration (Figure 9) directly benefits Grab through expanding the service obtainable market for the company. SEA’s rapidly expanding digital economy has seen its GMV rise more than sevenfold over the past decade. This growth has been underpinned by a large consumer base of over 200 million, which is projected to grow at a pace of 20-25 million new users each year as digitalization deepens across the underserved in the region. This results in mobile apps, particularly those with a wider reach and denser user networks, standing to benefit disproportionately and capture outsized market shares. Furthermore, as urban density increases (Annex 4.7.1), mobile platforms with broad geographic reach and dense user networks, such as Grab, are positioned to benefit disproportionately through higher usage frequency, stronger network effects and the ability to capture greater market share.

Competitive and Growing: Leading platforms in the sector have increasingly shifted from growth strategies centered on economies of scale and market penetration to a greater focus on process innovation, price optimization and enhancing service quality. Firms like Grab and Gojek have leveraged data collection and analysis capabilities to refine pricing and mapping algorithms to improve service reliability and competitiveness. In mobilities, operators like ComfortDelGro and TADA are segmenting demand through premium car services and hitch-style ride-sharing options to better serve different consumer cohorts. Growth in the food delivery and transport market is anticipated to grow at a **compounded annual growth rate (CAGR) of 11.7% until FY30E (Figure 10)**. In this environment, firms that demonstrate process innovation to enhance service quality and efficiency are best positioned.

Food Deliveries Margins Still Remain Heavy: Food delivery companies are seeing improvements to profitability margins (Figure 11), though average margins remain negative. The industry is characterized by high incentives and steep discounts from incumbent players with the aim of market consolidation. With major players continuing to undercut their peers, meaningful market consolidation has yet to materialise.

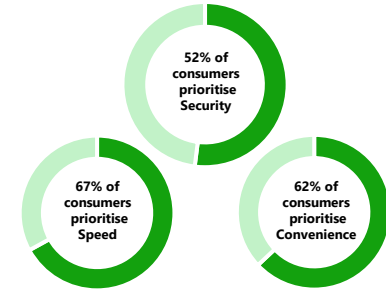
Mobility Margins turn Profitable: The transport industry has managed to turn EBITDA profitable in FY23A and maintain this trend of profitability in FY24A (Figure 11), driven by the robust demand for ride-hailing services alongside the increasing normalization of ride-hailing as a mode of transport. Several key drivers for the sustained increase in demand for these services include tourism, relative affordability and accessibility of such services within emerging markets in SEA. Alongside the poor public transport infrastructure and congested urban environments, ride-hailing is now a core transport mode and not a discretionary substitute.

Figure 12: Grab Market Share in Key Markets



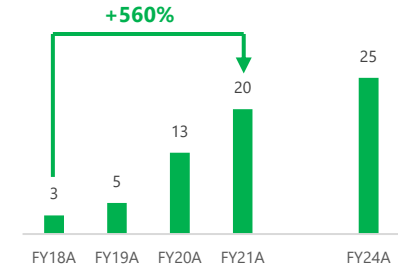
Source: Bain, Google, Temasek

Figure 13: Consumer Preferences in Choosing Payments Services



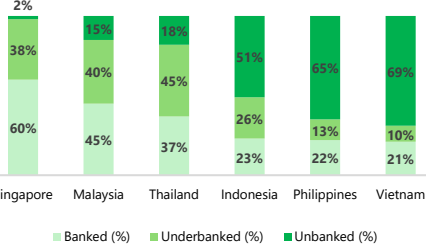
Source: HSBC

Figure 14: Number of Digital Banks Operating in SEA



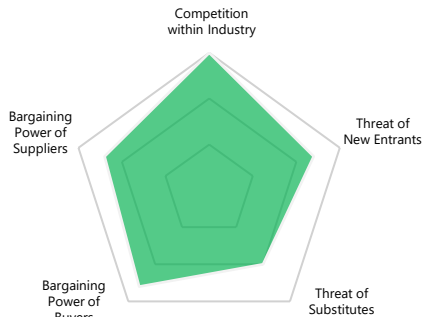
Source: HSBC, Twimbit

Figure 15: Southeast Asia Access to Financial Services by Country (2024)



Source: Google, Bain & Company, Bloomberg Intelligence

Figure 16: Porter's Five Forces



Competitive Positioning – Mobilities & Deliveries

Best-in-Class Network: Grab operates the largest and most diversified merchant network in the region, spanning various high-frequency consumption categories. With a **pool of over 5 Million active merchants** across SEA, significantly more than its peers, more consumers are attracted and funneled onto Grab's platform, driving higher transaction activity, accelerating GMV growth and generating delivery revenues that will outpace those of its competitors through deeper ecosystem engagement. With a stronger network, Grab also naturally benefits from a larger database, allowing Grab to study demand patterns in greater detail, adjusting their incentives and industry positioning to their advantage. Furthermore, as the platform attracts more users and achieves higher MTUs, additional merchants are increasingly incentivized to join the ecosystem. This creates a self-reinforcing cycle which will **drive sustained GMV and delivery revenues growth**.

Strong Commitment To Process Innovation: Grab is actively investing in autonomous vehicle technologies, which, if successfully scaled, could materially reduce reliance on human drivers, remove commission-related constraints and enable full fare capture. Grab has acquired autonomous vehicle firms Vay and Beijing Momentum to facilitate this. In deliveries, Grab has acquired robotics startup Infermove to automate first- and last-mile logistics, while ongoing drone trials aim to optimise intermediate-leg delivery. If deployed at scale, these initiatives could shorten delivery times, improve customer satisfaction and enhance the capacity and efficiency of Grab's delivery network.

Primed To Be The Biggest Winner: Grab's strong market leadership across its operating markets (**Figure 12**) delivers the highest demand-supply density, enabling more reliable fulfilment that is smaller peers struggle to match. This scale advantage creates a cycle where superior service quality, partner loyalty and rising operating leverage, positions Grab to dominate the rapidly growing on-demand services market in Southeast Asia.

Industry Overview – Digital Financial Services

Southeast Asia's digital financial services market is maturing beyond payments into lending, insurance and wealth management. Competition and widespread QR adoption have compressed payment margins, while lending remains the largest but cyclical revenue driver. Wealth management is the fastest-growing segment due to rising digital adoption, and platforms that broaden product offerings and deepen user engagement are best positioned to capture value and better manage credit risk.

Few Players Capture Majority Share: The SEA DFS market remains concentrated among major regional platforms and bank-backed entrants such as Grab Financial Group and GXS Bank, Trust Bank, and MariBank. In addition, there exist several domestically focused players that compete effectively within their home markets, such as Indonesia's GoTo Financial. Our Porter's five forces analysis highlights Grab's industry standing in this competitive space.

4 Big Hurdles: The growth of digital financial service (DFS) platforms in SEA has been limited. Research by Bain highlights 4 key hurdles. They consist of **1)** Low adoption of cashless payments (only 40% of transactions), **2)** the absence of reliable digital identification systems, **3)** Cautious regulatory approaches prioritizing consumer protection over innovation, and **4)** Underdeveloped financial infrastructure.

Digital Financial Services Are Rapidly Growing in SEA: The rapid increase in digital banks in Southeast Asia (**Figure 14**) reflects rising confidence and regulatory support for the region's financial services sector, underpinned by steady growth in GDP per capita (**Annex 4.7.2**), lifting disposable incomes. As households' wealth increases, consumption patterns shift from cash-based transactions toward greater use of formal financial products such as payments, savings, credit and insurance, particularly among previously underbanked populations. Rising incomes also improve credit worthiness and borrowing capacity, expanding the addressable market for consumer lending and enabling digital banks to scale more sustainably. While the growing number of digital banks has intensified competition, it also validates the structural demand for branchless, mobile-first banking in a region characterised by high smartphone penetration, strong e-wallet adoption and large segments of under-served consumers (**Figure 15**).

Competitive Positioning – Digital Financial Services

Grab's Embedded DFS Advantage: In our conversations with a GXS Bank executive (**Annex 4.2**), we found that GXS Bank benefits from deep integration with Grab's super-app and extensive merchant network, providing access to rich behavioural and transaction-level data across rides, deliveries, and in-app payments. This data advantage enhances credit underwriting and enables more granular risk-based pricing of lending products relative to regional digital-bank peers. Importantly, Grab's **~60% ownership stake in GXS Bank** aligns strategic incentives and facilitates tighter ecosystem integration, allowing Grab to actively channel its large base of small merchants and driver-partners toward GXS for working-capital and income-smoothing loans. This creates a proprietary data-distribution flywheel that competitors such as MariBank, which mainly rely on e-commerce, struggle to replicate.

Convenience is Grab's DFS Moat: Grab takes advantage by financial services into a default action highly integrated into their super-app ecosystem. GrabPay is directly embedded into everyday tasks such as booking rides, ordering food or paying a merchant on the app, making their payments and DFS easily accessible and convenient to use. A survey showed that 62% of SEA DFS users prioritise convenience (**Figure 13**) when choosing a payment system, which is exactly what Grab's integration of their payment services into their super-app entails. Grab's "one-app, one-wallet" experiences greatly reduces user friction in using Grab's DFS, giving Grab a competitive advantage over peers who do not have the same super-app ecosystem advantage as Grab.

Porter's Five Forces (Figure 16)

Competition Within Industry – HIGH: Grab's dominant position is threatened by other strong regional players and aggressive newcomers.

Threat of New Entrants – HIGH: Many new players have successfully emerged recently, other international players like Bolt have expanded in SEA (Malaysia) offering lower commission rates and improved pricing models.

Threat of Substitutes – MEDIUM: Substitutes are prevalent in the ODS segment; however, poor public infrastructure and declining private car ownership in specific geographies reduce the threat of substitution.

Bargaining Power of Customers – HIGH: Due to the smorgasbord of delivery and mobility apps at each consumers fingertips, Grab's services are incredibly price-elastic. Ride-hailing users are pushed to always make bookings based off pricing, resulting in extremely high bargaining power.

Bargaining Power of Suppliers – Medium: Due to the large number of alternative apps available for both deliveries and mobility segments, merchant partners and drivers can make choices of listing based off Grab's pricing and commission. However, Grab's larger scale of consumers makes switching more costly.

Figure 17: Tourists/Local Ratio: Spending & Premium Usage

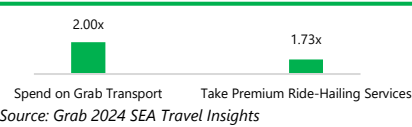


Figure 18: Revenue Weighted Tourism Spending Growth

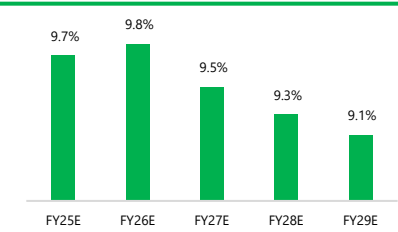


Figure 19: Grab's Projected MTU Growth Rates in Their Top 3 Largest Operating Geographies

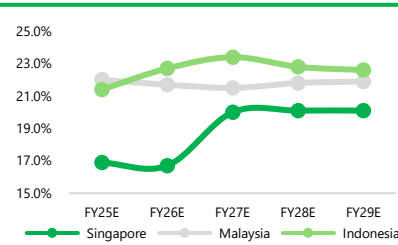


Figure 20: Chinese Outbound Travel Spending Forecasts (USD Bns)

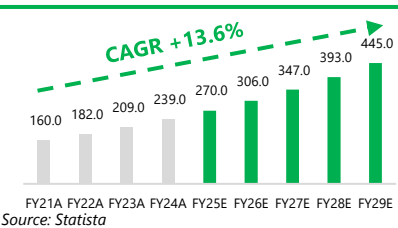


Figure 21: Chinese Mobile Payment Market Share (%)

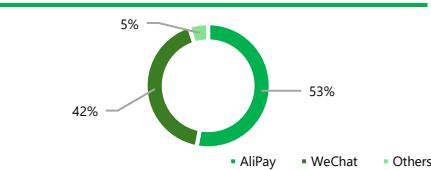


Figure 22: Gojek Incentive Spending

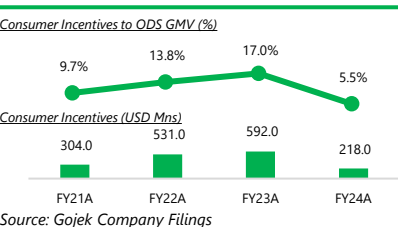
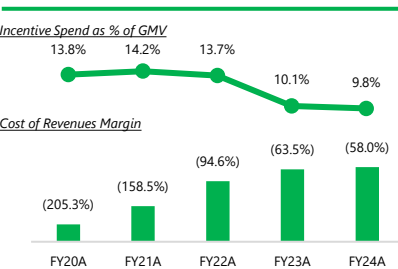


Figure 23: Grab Incentive Spend Margins



Thesis 1: Growth Via Structural Tourism Monetisation

Street View: Tourism is considered a cyclical tailwind within the broader mobility recovery. While institutions such as Mizuho and J.P. Morgan recognize that tourism can support GMV growth, they view it primarily as a **post-pandemic normalization factor rather than a distinct, structural driver of long-term valuation**.

Variant View: Tourism represents a **structural driver of high-margin growth that will improve Grab's unit economics**. Grab is attempting to establish a 'Travel Super-app' MOAT, by widening its network of partners to capture a high-yield, low-CAC (Customer Acquisition Cost) revenue stream, an opportunity largely unpriced by the market. Management reaffirmed in Q2 its strategic focus on expanding Grab's tourism footprint.

Tourists represent a **higher-margin user segment, as they are less price-sensitive**, prioritising convenience, and demonstrating higher average order values, including greater adoption of premium services (Figure 17). Their limited stay inclines them to stick with platforms that provide an integrated, end-to-end service experience, with **1 in 2 existing users** using their Grab app when travelling in SEA and Grab seeing a 57% YoY growth in travellers using their app. The Southeast Asian (SEA) tourism market is experiencing a **robust recovery, rebounding from post-pandemic lows and is projected to grow robustly through our forecast period (Figure 18)**. International arrivals to the region are steadily increasing, with Grab's largest revenue regions benefiting from this wave (Figure 19). Against the backdrop of pro-tourism policies implemented by regional governments such as Thailand, we expect SEA's tourism sector to remain robust and to contribute meaningfully to Grab's growth through 2030. Grab is **well-positioned to deepen its penetration** within this high-margin customer segment and **capitalize on the broader expansion of the regional tourism**.

1. AliPay and WeChat Partnership (Improved Payment Solutions): Chinese tourists comprised roughly 25% of all tourist arrivals in the region, making this cohort a strategically important demand source. The Chinese tourism market is set to grow at 13.6% CAGR through 2029 (Figure 20). Alipay and WeChat Pay dominate China's mobile payments market, capturing around 95% of total transaction volume (Figure 21). With this enhanced partnership, users of Alipay+ partner wallets (including GCash and AlipayHK) can now pay for a wide range of Grab services, without needing to download the Grab app. It also enables transactions at GrabPay-accepting merchants, reducing the need for tourists to transition to or configure local e-wallets. This integration also extends to mobility, with Grab's ride hailing services being embedded within Alipay+ Voyager, Alipay's AI-powered travel assistant, enabling users to book Grab rides seamlessly from within their native app environment. These enhancements materially reduce friction for Chinese leisure travelers, easing cross border payment processes and convenience of enjoying ride hail services. This will **improve market penetration within Chinese tourists and improved revenues across Grab's core verticals, while expanding margins and unit economics**.

2. Klook and Partner Apps: These partnerships **highlights its strategy to build a comprehensive super-app experience tailored to tourists**. Klook, one of Asia's largest travel activity platforms, has integrated its catalogue of attraction tickets, tours, events, and experiences directly into the Grab ecosystem. Users can book activities via the app, pay seamlessly through GrabPay, and earn GrabRewards points, tying travel purchases into Grab's loyalty programme and strengthening user stickiness. Grab also launched Partner Apps to allow third-party providers to embed their services directly within the Grab ecosystem, Enabling users to discover, book, and pay for external offerings without leaving the platform. Early partners include travel-relevant services such as Firsty, which offers global eSIM connectivity, and redBus, a major cross-border transportation provider in the region. These integrations set of travel-relevant services available on Grab, enhancing convenience for visitors and strengthening Grab's appeal as a one-stop platform for tourists. It also creates **additional avenues for engagement**, through the Grab rewards system, where tourists may become more incentivised to use GrabPay for other spending purposes throughout their stay.

3. Grab Travel Pass: The pass offers **promotions** across rides and meals. These expanded in-app services strengthen Grab's offerings for tourists, positioning the platform to capture a larger share of travel-related demand. Together, these initiatives should support **continued growth** in Monthly Transacting Users (MTUs) and GMV from the expanding tourist segment. We also see **potential second-order benefits**, including greater app stickiness and uplift to ancillary revenues, such as partner commissions and advertising income, driven by longer in-app engagement. By funneling tourist demand into bundled, multi-vertical usage, these services enhance unit economics through higher order density, improved utilisation of fixed platform costs, and richer cross-vertical monetisation per user.

Thesis 2: Efficiency From Pricing Discipline

Street View: Delivery margins are improving faster than expected, but sustainability is uncertain as competition may re-ignite incentive wars. **Sell-side generally believes that incentive rationalisation as positive, implying that reversal is a risk**, while being **explicitly cautious on Grab's forward margins**.

Variant View: Promotion wars are **structurally less likely to return** as SEA food delivery platforms have exited the growth-at-all-cost phase, with competition rationalising and the regulatory and industry environment now favouring disciplined pricing. Combined with Grab's active investments in autonomous solutions, the deliveries segment is positioned for structural efficiency and sustained margin durability.

Declining Competitive Intensity: Although **85% of users would not choose Grab if it were pricier (Annex 4.4)**, an indication of high price elasticity and low switching costs, **competitive intensity has structurally declined** across SEA, particularly in the food delivery segment. As competitors like Gojek reduce their incentive spending (Figure 22) and ShopeeFood slowing expansion outside Indonesia, the market is shifting away from a growth-at-all-cost approach towards sustainable profitability, removing one of the primary triggers of past margin volatility (Figure 23). This trend insulates Grab's margins from 'race-to-the-bottom' market dynamics.

Regulatory interventions now create structural pricing floors: The Competition and Consumer Commission of Singapore (CCCS) has intervened in the ride-hailing and deliveries market and has imposed ongoing constraints such as surge factor caps alongside fair and transparent pricing in order to limit abusive pricing behaviour. Furthermore, the **Indonesian Ministry of Transportation (IMOT)** has introduced explicit price floors for online motorcycle taxis, covering both ride-hailing and delivery drivers. These include specific floor and ceiling tariffs per kilometre for online motorcycle taxis by zone. 2025 coverage describes further planned hikes by the IMOT, showing that online fare levels are explicitly regulated, limiting the ability of platforms to push prices down. Finally, **Malaysia's competition watchdogs** are scrutinising food-delivery platforms and their discounting practices, raising the bar for aggressive price competition, discouraging extreme anti-competitive price-cutting. These regulatory floors lock in minimum revenues per order and place a cap on downside risks to take-rates, providing a structural backstop against aggressive price wars and protecting long-run profitability.

Increased Focus on Autonomous Solutions: Grab recently acquired Infermove, a robotics company that developed a mixed-road autonomous driving system along with hardware-focused autonomous solutions which

Figure 24: Cost of Sales to Revenues

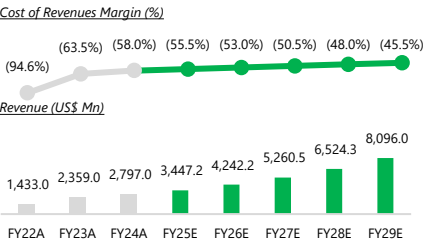


Figure 25: ODS GMV & Incentive Spend

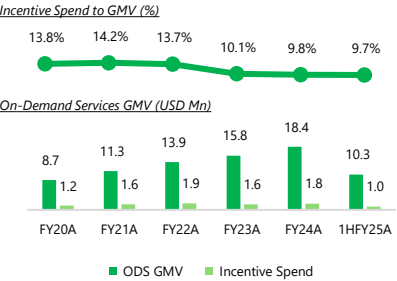


Figure 26: Percentage of Households With a Passenger Car in Singapore

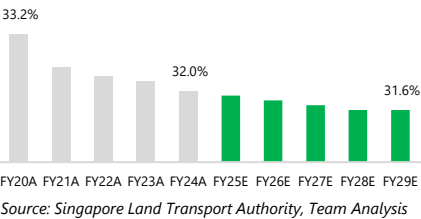


Figure 27: Market Share of Ride-Hailing

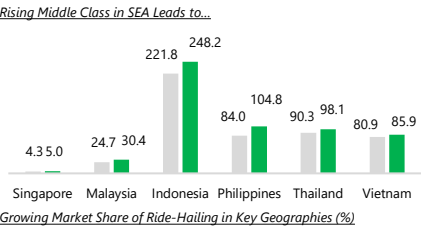
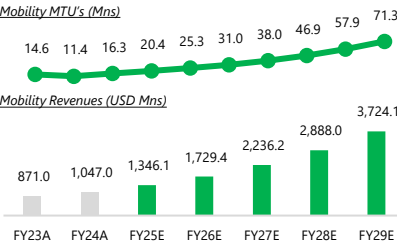


Figure 28: Projected Mobility MTU's and Revenue



management expects will enhance its first and last leg delivery capabilities. This complements Grab's ongoing drone trials in Metro Manila which aim to replace human drivers in intermediate leg delivery processes and its active AV programs. These initiatives aim to automate delivery and mobility, reducing labour dependence and structurally improving unit economics. Peer evidence from Meituan (Annex 4.7.4) suggests that automation can deliver material margin uplift, supporting Grab's structural decline in cost of revenues as scale and utilization improves. Technological efficiency and adoption supports Grab's structural decline in cost of revenues margin (Figure 24) over time as automation scales and utilisation improves across operating geographies.

Robust Growth In Spite of Reduced Incentive Spending: Grab's incentive spending as a percentage of on-demand services GMV has been gradually declining (Figure 25) implying effective cost discipline. Lower incentive spending has not seemed to have an effect on Grab's GMV, which has experienced robust growth in spite of the reduced incentive spending. From FY20A to FY24A, Grab's ODS GMV has more than doubled, while the percentage of incentives to ODS GMV has fallen by approximately 4%. This resilience suggests that GMV growth is being driven by healthy underlying demand, Grab's leading ecosystem, and consumer loyalty, as opposed to promotional intensity. This positions the company for stronger margin scalability in the long run.

Data Driven Marketplace Optimisation Structurally Drives Margin Improvements: Grab's scale gives it a unique data advantage across riders, driver- and merchant-partners, which it uses to algorithmically match supply and demand in real time. Using AI-driven pricing and allocation, Grab can forecast demand spikes by location and dynamically transmit this information to driver- and merchant-partners, improving overall marketplace efficiency. Grab's ecosystem works as a self-reinforcing flywheel. A growing base of consumers attracts more merchant-partners, expanding selection and convenience, encouraging users to do even more of their daily spending on Grab. Higher order volumes then attract more driver-partners, improving wait times, reliability and coverage, improving user stickiness. Each interaction generates data that Grab uses to optimise app processes, improving unit economics for all parties and supporting structurally higher margins.

Thesis 3: Mobility Expansion Beyond Competitive Share Gains

Street View: The street largely frames Grab's upside through a competitive lens that Grab is gaining GMV and MTU share vs Gojek and smaller local players. Maybank report highlights Grab's GMV share relative to its next competitor and opines that margin expansion is expected to come from scale and softer competition, not from changes in the underlying mobility landscape.

Variant View: Grab's GMV, driven by MTU, is supported by the expansion of ride-hailing's market share in Southeast Asian public-transport systems, which the street does not recognise. This trend is further reinforced by Southeast Asia's expanding middle class and urbanisation (Annex 4.7.1), as rising disposable incomes increase willingness to pay for convenience-led mobility and drive higher ride-hailing penetration across the region (Figure 27). The expansion of ride-hailing market share creates an uplift in demand that Grab captures by default, obtaining higher MTUs and providing a backdrop for GMV increase, and improving unit economics.

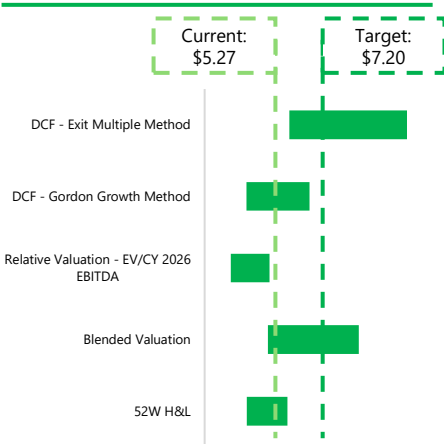
Singapore shows a trend of less owning and more hailing: The rise in COE prices (Annex 4.7.3), frequently exceeding SG\$100,000, has pushed Singaporeans away from private car ownership and toward ride-hailing (Figure 26). Additionally, Singapore's long-term urban blueprint supports a car-lite future, capping vehicle population growth at 0% and shifting travel demand toward public and shared mobility, including ride-hailing. Furthermore, the LTA Master Plan and the Sustainable Singapore Blueprint outline a transport system where public transit, walking, cycling and shared mobility form the backbone of daily commuting. While part of this demand will flow into MRT and buses, these modes cannot cover all travel needs. Ride-hailing is hence a substitute for the mobility gap created by declining car ownership, offering flexible point-to-point transport without the financial burden of owning a vehicle. With decreasing car ownership, a growing proportion of trips will migrate into ride-hailing, increasing its market share within Singapore's transport ecosystem. Hence, we foresee ride-hailing market share in Grab's key geographies to increase (Figure 27). This structural uplift in ride-hailing penetration catalyses MTU growth beyond street expectations, accelerating GMV growth and improving Grab's unit economics as the modality expands within Singapore's transport landscape.

Malaysia's ride-hailing tailwinds; from demographics to policy: Malaysia's ride-hailing market is set for strong expansion as it integrates into the national public transport ecosystem. With 78% of the population now urbanised and nearly 8 million residents concentrated in Greater Klang Valley, demand for efficient urban mobility continues to rise. Despite ongoing MRT and LRT investments, public transport's modal share in Klang Valley remains at just 20-25%, leaving large first- and last-mile gaps that ride-hailing services can address more effectively than feeder buses. This is supported by Malaysia's expanding middle class (~45% of households by 2030), combined with high smartphone penetration (above 96%) shifting toward convenience-led, app-based transport usage. Furthermore, regulatory and policy developments provide fresh structural support: the Gig Workers Bill 2025 formalises gig drivers as a recognised workforce with contractual protections; meanwhile, authorities in 2025 are tightening enforcement of ride-hailing licensing requirements and engaging with fare-regulation proposals. Together, these developments significantly raise the legitimacy, safety, and long-term viability of ride-hailing as a mainstream transport mode in Malaysia. As a result, we foresee Malaysia's ride-hailing's share of the transport market is set to rise steadily, increasing from 40.3% in 2023, to 44.8% in 2029. This growth in ride-hailing market share validates our variant view that regardless of market-share battles, ride-hailing's increasing share of total mobility will fuel Grab's overall growth in unit economics (Figure 27).

Indonesia's ride-hailing sector has increasing room for growth: Indonesia, with a population of ~280 million people is urbanising rapidly, with over 57% of the population now living in urban areas and projected to reach over 65% by 2030. Although public transport investments are increasing, they have yet to materialize, with most cities lacking high-capacity, efficient transportation systems. This mismatch creates a gap for the ride-hailing industry to fill, especially for short-distance trips. Indonesia's rising middle class and smartphone penetration provides a backdrop for consumers to utilise their disposable incomes to prioritise their convenience over cost minimisation, fuelling higher ride-hailing adoption. Indonesia is also seeing a recovery in tourism after COVID-19 along with the rest of SEA, as shown in Thesis 1. Given Indonesia's limited English signage and fragmented local transport networks, tourists naturally gravitate toward ride-hailing for airport transfers, hotel mobility, and local travel. This provides a strong incremental boost to ride-hailing demand, increasing its share amongst increasing public transport usage. With these, we foresee ride hailing's market share to increase from 33.8% in 2023, to 35.2% in 2029. This supports our variant view that Grab benefits mechanically from rising category penetration because ride-hailing itself is becoming a larger component of Indonesia's transport ecosystem.

Volume-Driven Advantage: As ride-hailing's share of total transport users rises across Grab's core markets, Grab gains disproportionately because its model scales on volume rather than pricing. Even with a constant competitive share, higher category penetration mechanically lifts MTUs as more transport users transact through the modality Grab leads and trip frequency increases. This drives MTU growth and in turn accelerates GMV and thus revenue through FY25E-FY29E (Figure 28). The expanding user base ultimately reinforces Grab's scale advantages and strengthens unit economics without needing aggressive pricing or market-share battles.

Figure 29: Football Field Analysis



Source: Team Analysis

Figure 30: Revenue Build Methodology

Deliveries			
MTU	✗	GMV per MTU	
GMV	✗	Take Rate	
Mobility			
MTU	✗	GMV per MTU	
GMV	✗	Take Rate	
Financial Services			
MTU	✗	Revenue Per MTU	

Source: Team Analysis

Figure 31: WACC Summary

Target Capital Structure	WACC	Weight
Current D/E	10.46%	50%
Median Comps D/E	10.67%	50%
Final WACC	10.56%	100%

Source: Team Analysis

Figure 32: Cost of Debt

Blended Credit Rating Approach		
Rf Rate – US 10Y Treasury Yield		4.08%
Average Interest Coverage Ratio		(3.0x)
Synthetic Credit Rating		D2/D
Actual Credit Rating		BB-/Ba3
Blended Default Risk Spread - Damodaran		10.81%
Pre-Tax Cost of Debt		14.88%
Tax Rate		21.5%
After-Tax Cost of Debt		11.68%

Source: Team Analysis

Figure 33: Cost of Equity

Capital Asset Pricing Model		
Rf Rate – US 10Y Treasury Yield		4.08%
Blended Weighted Beta		0.68
Equity Risk Premium		6.28%
Country Risk Premium		2.07%
Cost of Equity		10.43%

Source: Team Analysis

Our team has calculated a price target of **US\$7.20** representing a **36.6%** premium to the last close of **\$5.27** on 6/1/26, derived from a blended average of share value calculated from intrinsic valuation and relative valuation methodologies (Figure 29, Annex 1.7).

Discounted Cash Flow

A DCF analysis was used to derive the intrinsic value of Grab, using the **Gordon Growth Method (GGM)** and **Exit Multiple Method (EMM)**. Unlevered free cash flows were discounted using the **Weighted Average Cost of Capital (WACC)** over a 5-year period, from FY25E to FY29E (Annex 1.9).

Revenue Build Methodology

Grab reports revenues across 3 segments: deliveries, mobility and financial services. Revenue growth was derived using a **bottom-up approach** anchored in Grab's GMV and MTU's (Figure 30). To enhance forecast granularity, we disaggregated the build along two dimensions, **1) Segment 2) Geography**. A detailed derivation of our unit drivers and segmented revenue breakdown is presented in (Annex 1.4).

Deliveries: Deliveries GMV was divided by Deliveries MTU's to derive the **average selling price (ASP)**. Next, we forecasted MTU's (Volume) to grow by a weighted average blend of consumer expenditure growth across the countries Grab operates in, alongside a brand premium to reflect Grab's premium pricing in line with our thesis and Grab's existing market power and super-app flywheel effects. ASP was then grown by the weighted average blend of inflation. The **final yearly GMV** was obtained through a function of **(ASP) * (Volume)**, and **yearly revenue** was obtained by **multiplying yearly GMV by our forecasted yearly take rate** for the deliveries segment.

Mobility: Mobility's GMV was divided by Mobility's MTU's to derive the **ASP**. Next, we forecasted (Volume) to grow by a weighted average blend of tourism spending growth and consumer expenditure growth across the countries Grab operates in to reflect our forecasts on increasing tourism spending, alongside a brand premium to reflect Grab's premium pricing in line with our thesis and Grab's existing market power and super-app flywheel effects. ASP was then grown by the weighted average blend of inflation. **The final yearly GMV** was obtained through a function of **(ASP) * (Volume)**, and **yearly revenue** was obtained by **multiplying yearly GMV by our forecasted yearly take rate** for the mobility segment.

Financial Services: Financial Services revenues was divided by its MTU's to derive the **ASP**, due to the company no longer reporting GMV for this business segment. Next, we forecasted MTU's (Volume) to grow by a weighted average blend of mobile payments growth across the countries Grab operates in, alongside a brand premium to reflect Grab's network effects, mixed shift towards higher-yield products and increasing merchant acceptance. ASP was then grown by the **weighted average blend of inflation**. The **final yearly revenue** was obtained through a function of **(ASP) * (Volume)**.

Costs

Considering the cost savings brought about by reduced incentive and marketing spending, drone implementation, relatively fixed costs of the digital financial services platform and the data driven cost cutting measures the company is implementing, we have calculated and modelled the expected reductions to the respective cost segments.

WACC

Our WACC of 10.56% was derived from an equal weighted average between the WACC based on **(1) Grab's current capital structure and (2) the peer group median capital structure (Figure 31)**. Our final WACC remains above Damodaran's estimated WACC's for the advertising (9.22%), non-banking and insurance financial services (5.46%) and transportation (7.72%) industries, reflecting the firm's **higher risk profile** compared to each individual industry. This also adds a further margin of safety to our valuation as it yields a strong upside even after accounting for the higher risk profile of the company

- Cost of Debt (11.68%):** The pre-tax cost of debt (14.88%) for Grab was calculated using a blended average of the Synthetic Credit Rating approach (Figure 32) and the companies actual credit rating. The after-tax cost of debt (11.68%) was derived by applying a revenue-weighted tax rate (21.5%) of Grab's operating regions to the pre-tax cost of debt.
- Cost of Equity (10.43%):** Grab's cost of equity was calculated using the Capital Asset Pricing Model (Figure 33). The beta (0.68) is based on a levered beta from the identified peer group, derived from an equal weighted-average of the relevered beta based on (1) Grab's current capital structure and (2) the peer group median capital structure. The equity risk premium (6.28%) and country-risk premium (2.07%) were revenue-weighted by Grab's geographical exposure, drawing on Damodaran's latest estimates.

Terminal Value Assumptions

Our **terminal growth rate (4.0%)** is **set conservatively below the weighted average GDP growth rate (~4.7%)** of the past 20 years of Grab's countries of operations for an added margin of safety. Our terminal EV/EBITDA multiple (26.9x) was based on a weighted average of the median EV/CY26E EBITDA of Grab's identified peer group, with the choice of a forward multiple to align with the forward-looking nature of our valuation.

Sensitivity Analysis

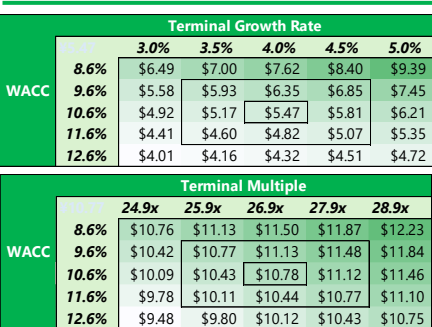
Our sensitivity analysis (Figure 34) on the WACC against the terminal growth rate and terminal exit multiple yielded a **valuation above the current share price** under the majority of our scenarios. Additionally, we conducted a **Monte Carlo** analysis on our operating assumptions to analyse the robustness of our recommendations (Figure 35). Out of 10,000 scenarios, 66.2% of the blended average DCF prices were above our target price, with 80.6% yielding a 30% upside to the current share price.

Sanity Check: A **reverse DCF** was then conducted on Grab to analyse several factors: (1) **understanding the expectations** priced into the stock (2) **benchmarking the revenue growth assumptions** against our own forecasts (3) to **check the plausibility** of our implied terminal value. Using our initial projections of margins, WACC and terminal growth rate, the market has forecast a **9.0% revenue CAGR for Grab, below our forecasted CAGR of 20.6%** confirming the market undervalues the revenue growth potential, as illustrated in thesis 1 and 3.

Relative Valuation

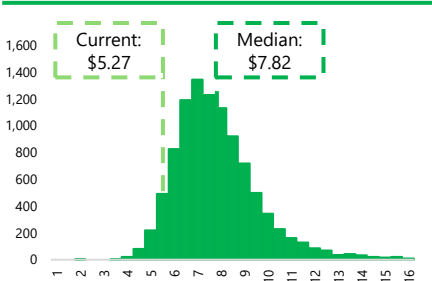
Our relative valuation resulted in an **implied share price of \$5.37**, with a **36.6% upside** to the latest closing share price.

Figure 34: Sensitivity Analysis



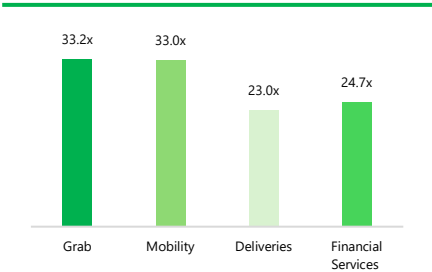
Source: Team Analysis

Figure 35: Monte Carlo Analysis



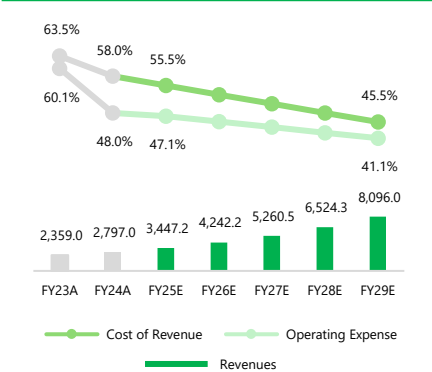
Source: Team Analysis

Figure 36: Premium Valuation to Segment Peers



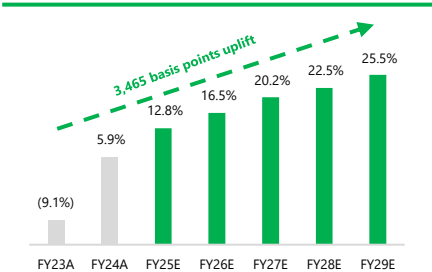
Source: S&P Capital IQ, Team Analysis

Figure 37: Revenues, Cost of Revenues and OPEX (As % of Revenues)



Source: Company Disclosures, Team Analysis

Figure 38: EBITDA Margin Normalisation



Source: Company Disclosures, Team Analysis

Comparable Company Selection: Due to Grab's nature as a super-app with multiple different business segments, there were not many companies which accurately reflected the nature of the company. As such, public comparable companies were selected **based off industry classification, alongside additional screening** for similarity in business models and market capitalisation. Our comps set was anchored by only direct competitors to Grab in their regions of operations, due to the companies operations only being confined to SEA. We then conducted a revenue weighted **sum-of-the-parts** approach based off Grab's main revenue segments.

Multiple Selection: We adopted a **forward EV/ CY26E EBITDA** as our **primary valuation** multiple due to the following reasons:

- Operational Comparability:** EBITDA normalises for differences in depreciation and capital structure across firms.
- Accounting Consistency:** P/E ratio is less reliable due to the differing tax regimes and accounting standards across the identified peer set.
- Forward Multiple:** Aligns with the forward-looking nature of our valuation.

Brand Premium: A segment specific brand premium multiplier was applied to each of the Segment specific median EV/CY+1 EBITDA's. this was done to reflect Grab's 1) market leadership in two of three operating segments 2) super-app flywheel effects driving greater volumes of users towards each operating segment which other business do not have.

Premium Valuation to Peers: Grab traded at a 33.2x EV/EBITDA (as of 03 Dec 2025), representing a slight premium to its mobility (33.0x), deliveries (23.0x) and financial services (24.7x) peers (**Figure 36**). We believe that this reflects the markets **optimism** in Grab's super-app, **market leadership** and **strong multi-vertical synergies**, which we are in **agreement** with. However, Grab is **barely trading at a premium** to its mobility peers **which we believe is unjust** and due to the **markets pessimism** about the **sustainability of Grab's margins** and the glass ceiling on its pricing power. As Grab's margins normalise and fall, coupled with top-line growth beyond street estimates and increasing take rates beyond FY25E, we see **clear potential** for **further multiple expansion** and **re-rating** to reflect a **higher premium multiple** over peer trading levels.

Financial Analysis

Revenues: Grab's topline growth in years past has been driven heavily by the post-pandemic rebound in mobility and delivery demand. Catalysing this growth was Grab's strong network effects, established through the active expansion of its platform and in-app services, which strengthened its flywheel and encouraged further MTU growth. Grab's Fintech segment similarly began to contribute meaningfully, as early-cycle growth challenges eased, supported by management's active efforts to significantly expand its partner network. Going forward, **we expect FY25E to FY29E revenue growth to moderate and stabilise** (**Figure 37**) growing at a CAGR of **23.7%**, above the overall street expectations of 9.0%. This growth will be driven firstly, by robust GMV expansion, supported by steady consumer spending growth (5–6%), a recovery in tourism, and accelerating digitilisation across the region, with internet users projected to **rise from 564M in 2024 to 650.4M** in 2029. Contributing to this, we also expect take rates to improve by ~2% across its mobilities and deliveries verticals (**Annex 1.4**), fueled by superapp ecosystem synergies and enhanced unit economics. Together, these tailwinds support a structurally higher revenue trajectory.

Costs: We project Grab's **cost of revenues as a percentage of revenue to decline** from 58.0% in FY24A to 45.5% in FY29E (**Figure 37**) due to Grab's reduced incentive spend relative to GMV, rising restaurant and delivery density and improved route efficiency due to autonomous investments. We also project **operating expenses to decline** from 48.0% in FY24A to 41.1% in FY29E (**Figure 37**). Grab's asset-light business model and established app ecosystem allow new users to be onboarded at minimal incremental cost. Cloud, mapping, and routing expenses scale sublinearly, so operating costs grow more slowly than revenues and user base.

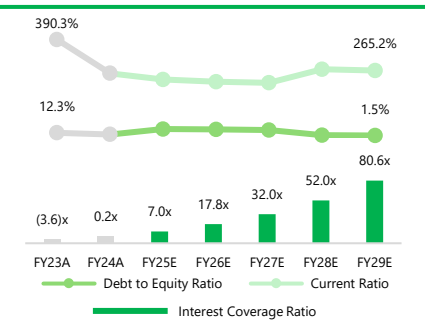
Profitability: EBITDA margins have **expanded exponentially** from (9.1%) in FY20A to 5.9% in FY24A, driven by structural cost reductions and disciplined operational expenditure management (**Figure 38**). As Grab and their competitors transition to a focus on sustained profitability, we forecast margins to grow steadily to 25.5% by FY29E driven by their cost cutting initiatives and adoption of high margin growth levers through autonomous solutions and tourist market expansion. This margin expansion will be underpinned by the company's operating leverage, primarily driven by reductions to variable costs and higher take rates. Grab's asset-light business model means a significant portion of costs are variable. Growth in MTUs, take rates and targeted reductions or incentives will drive strong absorption of these variable costs, enhancing operating leverage, which will catalyse strong margin expansion. Overall, our projections account for managements guidance in the short term, with our **forecasted FY25E EBITDA being slightly under managements to reflect the conservative nature of our valuations**, and the long-term implied cost savings of thesis two.

Capital Structure and Solvency: Grab's **capital structure is projected to strengthen steadily**, with the Debt to Equity ratio improving from 12.3% in FY23A to 1.3% by FY29E, this is supported by **growing retained earnings** and **managements' discipline in maintaining low net leverage** (**Figure 39**). We project Grab's **Interest Coverage Ratio** to rise sharply from 0.2x in FY24A to 80.6x in FY29E (**Figure 39**), supported by robust earnings growth and the expectation that interest-bearing debt remains low. CapEx will increasingly be funded from operating cash flow, with CapEx as a share of NOPAT declining, keeping leverage well-contained.

Liquidity: We expect Grab's current ratio to decline and stabilise around 265.2% by FY29E, highlighting Grab's strong **short-term liquidity**, being able to comfortably cover all their near-term obligations using its current assets (**Figure 39**). This also implies that it is effectively a **net cash company** with a cash position far exceeding its liability obligation. This liquidity provides Grab with the financial flexibility to continue its long-standing strategy of expanding its network and to manage competitive pressures through targeted acquisitions. Grab's balance sheet continues to stands out versus peers, with a five-year average Net Debt/EBITDA of just **0.08x**, materially lower than **Gojek's 2.89x** and **SEA's 1.25x**, despite its active aquisiton activities, underscoring

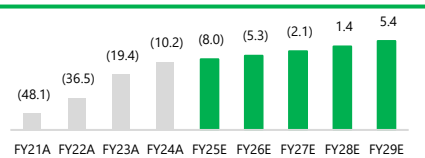
Improving Value Creation: Grab's growth-at-all-costs model in years past as part of its early stage of platform and network build-out efforts has led to negative value creation for shareholders. While headline revenue growth was strong, the capital efficiency of this growth was weak, with cash flows consistently deployed at returns below the firm's WACC, leading to value dilution as shown by the ROIC–WACC spread (**Figure 40**). The spread remained deeply negative initially as Grab engaged in capital inefficient investment, in its FinTech segments and large incentive spending. However, the spread has continued to narrow. Anchored in our Thesis 1 and 2, namely Grab's shift toward higher-margin, capital-efficient segments through increased adoption of autonomous solutions, targeted expansion in the tourist market, and a transition away from incentive-driven price wars, we expect the **ROIC–WACC spread to steadily improve**, narrowing through FY29E and turning positive by FY28E, from -8.0%

Figure 39: Improving Capital Structure



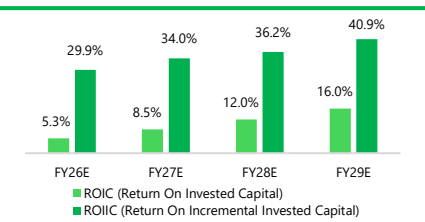
Source: Company Disclosures, Team Analysis

Figure 40: ROIC – WACC Spread



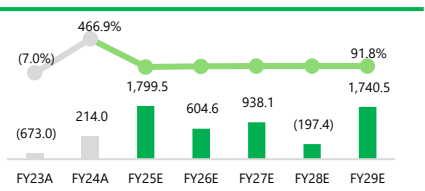
Source: Company Disclosures, Team Analysis

Figure 41: ROIC Against ROIC



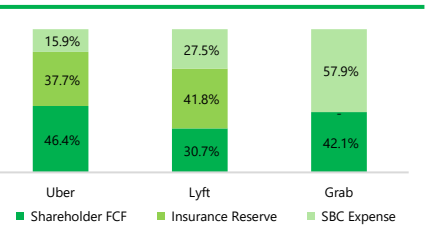
Source: Company Disclosures, Team Analysis

Figure 42: Free Cash Flow to Equity vs FCF Conversion Rate



Source: Company Disclosures, Team Analysis

Figure 43: FCF Comparison to Peers



Source: Company Disclosures, Team Analysis

Figure 44: Altman Z-score

	Net Working Capital / Total Asset	Retained Earnings / Total Asset	EBIT / Total Asset	Asset Market Value / Liabilities Book Value	Sales / Total Asset	Z-score
Coefficients	1.2	1.4	3.3	0.6	1	
Variables	42.75%	2.12%	0.20%	7.2x	0.3x	5.1

Source: Company Disclosures, Team Analysis, CFA Institute

Figure 45: MTUs Sensitivity

	Deliveries MTUs				
	%	0.0%	-10.0%	-20.0%	-30.0%
Mobilities MTUs	0.0%	\$7.20	\$6.95	\$6.70	\$6.45
	-10.0%	\$6.96	\$6.71	\$6.46	\$6.21
	-20.0%	\$6.71	\$6.46	\$6.21	\$5.96
	-30.0%	\$6.46	\$6.22	\$5.97	\$5.72

Source: Team Analysis

currently to +5.0% by FY29E, putting the company on a path to sustainable value creation. Our DuPont analysis shows that the ROIC expansion will be driven primarily by rising NOPAT margins which will outpace declines in turnover capital, highlighting that these growth levers generate high-margin, value-accretive returns even as capital efficiency temporarily dips. Our models project that **ROIC will consistently exceed ROIC** through 2029 (Figure 41), reinforcing sustained ROIC expansion over the forecast period.

Free Cash Flow Conversion: Grab's FCF conversion has been **volatile, reflecting swings in profitability rather than underlying cash generation**. In FY23A, EBITDA fell into loss territory due to elevated incentive spend, mechanically driving negative conversion rate. As profitability normalised in FY24A, FCF conversion rebounded sharply, reaching 466.7%. Going forward, we expect a FCF conversion rate profile to gradually improve to a robust 83% by FY29E from 60.4% in FY25E, reflecting improved working capital efficiency and disciplined capex deployment against the backdrop of improved earnings quality, presenting a more stable and predictable cash conversion profile than historically. This will provide a **meaningful buffer** against earnings volatility, enhancing downside resilience across the cycle and ensures Grab's **ability to self-fund growth**, reducing the need for incremental equity issuance or dilution, even as we expect Grab to continue pursuing selective acquisitions to enhance market share and deepen its autonomous and technology capabilities, consistent with its historical strategy. Importantly, unlike peers such as Uber and Lyft, Grab does not self-insure its drivers or vehicles and therefore is not required to hold material insurance reserves on its balance sheet. This makes Grab's reported free cash flow a more accurate reflection of underlying operating performance and cash available to shareholders. Adjusting for non-distributable insurance reserves and non-cash items like stock-based compensation (SBC), Grab's shareholder cash flow as a percentage of FCF currently stands at 42.1%, surpassing Lyft and on track to exceed Uber as its business scales. While SBC currently absorbs a significant portion of Grab's FCF, its shareholder cash flow returns are unencumbered by insurance reserves, unlike Uber and Lyft, whose reserve requirements grow with their business. This provides a clear path for Grab to strengthen shareholder cash flow returns over time, while returns for Uber and Lyft remain structurally limited.

Altman Z-score (Figure 44)

Grab's estimated Altman Z-Score is approximately **5.1**, placing the company firmly in the 'safe zone' (threshold score of 2.99) and indicating **negligible bankruptcy risk**. This robust solvency profile is driven by two structural strengths: exceptionally high **Market Value of Equity to Book Value of Liabilities ratio of 7.2x**, and a **healthy Net Working Capital to Total Assets ratio of 42.75%**. The dominance of the equity component which consists of about 60% of the total score signals that public markets are pricing in significant future value. Furthermore, the book value for liability is comparatively small, reflecting Grab's **net-cash** asset position. This ultimately provides a massive buffer against the company's relatively small liability base at about **\$2.9B**.

Interpretation of Score Composition: While the headline Z-score is strong, its composition highlights a specific profile typical of transitioning tech giants: **solvency driven by capitalization**, rather than **accumulated profits**. The profitability components of the score which are EBIT/Total Asset (~0.2%) and Retained Earnings/Total Assets (~2.1%) contribute **almost nothing** to the final number, reflecting Grab's **history of operating losses** and **lack of accumulated earnings**. This creates a **'barbell'** risk profile: the company is financially secure not because it is currently generating massive returns on assets, but because it is extremely well-capitalized and liquid.

[M1] : Market Risk – Macroeconomic Slowdown Tempering Demand

Grab's revenue base is heavily exposed to discretionary consumer spending across its core verticals, deliveries, mobility, and Financial Services, which collectively encompass consumer-driven offerings such as food and grocery delivery, ride-hailing, and digital financial products including e-wallets, buy-now-pay-later (BNPL) and lending. **A broad slowdown in Southeast Asian economic growth**, driven by weaker global trade, tighter financial conditions, or persistent inflation, would likely **erode disposable incomes and weigh on demand** across these services. In mobilities, softer labour markets and weaker tourism activity could reduce commuting volumes and airport trips, while price-sensitive users may shift toward lower-cost alternatives such as public transportation. In Deliveries, consumers typically respond to economic stress by reducing order frequency or trading down to lower-ticket meals and saver options, placing pressure on gross merchandise value (GMV) and take rates. Within Financial Services, macroeconomic stress could dampen business and consumer confidence, slowing loan growth while increasing delinquencies and credit costs across lending products.

Valuation Impact: A **30%** reduction in MTUs and GMV for deliveries and mobility verticals each would lead to a negative impact of **20.6%** on the target price, leading to a final price of **US\$5.72** (Figure 45).

Mitigation: (1) In a downturn, Grab can protect engagement by leaning into **affordable tiers** and Saver products that keep price-sensitive users within the ecosystem even if they reduce order frequency or size. (2) Grab can offset softer demand by **tightening discretionary expenditures** such as broad-based incentives and data-driven programs such as dynamic pricing and demand-supply optimization to keep market interactions efficient. On the DFS side, macroeconomic stressors typically show up as increased delinquencies for loans. This can be managed by tightening underwriting through data analytics and ecosystem data to mitigate Non-Performing Loans (NPLs) formation and adjusting loan sizes and tenors, allowing Grab to continue to serve credit worthy users.

[M2] : Market Risk – Prolonged Price Wars Dragging Margin Growth

The digital platform market in Southeast Asia remains structurally competitive across Mobility, Deliveries and Financial Services, because of the low switching costs and high price-sensitivity across these verticals. The intensity of competition remains inconsistent. While industry dynamics have been trending towards sustainable pricing over a 'growth-at-all-costs' environment, a **re-ignition of a price war could be triggered** by major rivals **reprioritizing market-share gain or a new entrant deploying capital aggressively**. If a subsidy war reignites, Grab will need to increase consumer and partner incentives to defend market-share and acquisition, which would pressure margins if GMV continues to grow.

Valuation Impact: A **10%** increase in **COGS** arising from increased incentive spending and need to competitively price could lead to a negative impact of **22.9%** on the target price, leading to a final share price of **US\$5.56** (Figure 46).

Mitigation: (1) Grab can **reduce reliance on subsidy-led competition by competing on reliability and convenience and not just price alone**. User trust is built by ensuring better service quality and reliability, driving repeat usage even when competitors offer incentives. On the merchant side, Grab is incorporating value-added services such as financing and marketing tools to increase merchant dependency on the Grab app for various needs, raising merchant stickiness (2) Grab can also protect margins in a subsidy war by shifting from **broad-based promos to targeted, ROI-positive incentives**. Using ecosystem data to segment users and merchants by lifetime value, churn risk and price sensitivity. Grab can deploy smaller, more targeted incentives only where incremental demand is the highest per incentive spend, allowing Grab to avoid blanket incentives.

Figure 46: COGS Sensitivity

COGS	Share Price
+5%	\$6.38
+6%	\$6.21
+7%	\$6.05
+ 8%	\$5.89
+9%	\$5.72
+10%	\$5.56

Source: Team Analysis

Figure 47: Revenue Sensitivity to USD

USD	Share Price
+5%	\$6.93
+6%	\$6.87
+7%	\$6.82
+8%	\$6.77
+9%	\$6.71
+10%	\$6.66

Source: Team Analysis

Figure 48: Take Rates/SG&A Sensitivity

SG&A	Take Rates				
	%	-5.0%	-10.0%	-15.0%	-20.0%
	+5.0%	\$6.71	\$6.50	\$6.28	\$6.07
	+10.0%	\$6.45	\$6.25	\$6.04	\$5.84
	+15.0%	\$6.18	\$5.99	\$5.80	\$5.61
+20.0%	\$5.92	\$5.74	\$5.56	\$5.38	

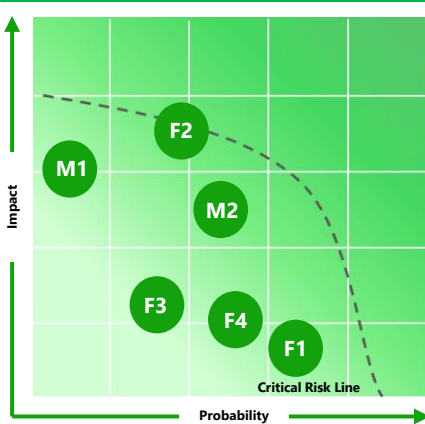
Source: Team Analysis

Figure 49: Mobilities Revenue Sensitivity

Mobilities Revenue	Share Price
-5%	\$7.08
-10%	\$6.96
-15%	\$6.83
- 20%	\$6.71
-25%	\$6.59
-30%	\$6.46

Source: Team Analysis

Figure 50: Risks Probability and Impact Matrix



Source: Team Analysis

[F1]: Firm Risk – Currency Exposure and FX Volatility

Grab generates cash flows in several currencies, primarily Thai Baht (THB), Singapore Dollars (SGD), Indonesian Rupiah (IDR), and Malaysian Ringgit (MYR), but reports its financials in U.S. Dollars (USD). This structural mismatch exposes Grab to simultaneous FX movements across several markets, **amplifying the impact of currency volatility on reported revenues and margins**. The company has already benefited in recent quarters from a historically unprecedented regime of USD underperformance and EMFX strength following Liberation Day but may face FX risks in the years to come. A return toward more typical currency trends should be expected and will weigh on revenues. Furthermore, several of the above-mentioned currencies are emerging market (EM) currencies, which tend to perform well in risk-on environments and often attract leveraged carry flows. Consequently, a period of USD resurgence and broad risk-off sentiment, would prompt swift unwinds of these positions, leading to rapid deleveraging and pronounced capital outflows akin to the 1997 Asian Financial Crisis. This would significantly pressure Grab's USD translated revenues while also compressing margins through higher local operating costs, weaker consumer spending power, and more cautious promotional intensity across Grab's core markets, reinforcing FX as a meaningful but underappreciated earnings risk.

Valuation Impact : A 10% decrease in USD-reported EBITDA from a 10% appreciation of USD would lead to a negative impact of 7.6% on the target price, leading to a final price of \$6.66 (Figure 47).

Mitigation: (1) The USD remains weak relative to the start of the year and near three-year lows, while hedging costs have declined. This represents an attractive spot for Grab to enhance its hedges against potential further USD appreciation. (2) We expect EMFX to continue outperforming and the USD to underperform, as weakness in the US labor market drives the Fed toward another rate-cut cycle.

[F2]: Firm Risk – Political Pressures Restricting Margin Growth

Grab operates a variable commission structure, typically ranging from 10%-25% per ride or deliveries. Authorities in jurisdictions like Indonesia have imposed commission caps. This limits Grab's current ability to improve margins per ride and delivery. Furthermore, Grab's financial sustainability and margins have increasingly become a political issue across its markets. In **Indonesia**, amid rising economic concerns and the rapid mobilization of the country's substantial gig workforce, political pressure has intensified to **strengthen gig worker protections**, with many drivers and delivery partners calling for further limits on platform commissions. In **Singapore**, the passage of the **Platform Workers Act** requires Grab to make mandatory employer contributions to drivers' retirement accounts (CPF), raising the company's structural cost base. These obligations will gradually expand over time, manifesting in higher SG&A expenses for the company, narrowing operating margins.

Valuation Impact: A 20% decrease in the take rates in each of Deliveries and Mobility verticals and 20% increase in SG&A expenses from higher benefits contributions would lead to a negative impact of 34.0% on the target price, leading to a final price of \$5.38 (Figure 48).

Mitigant: (1) Grab's is actively **trialing and investing in autonomous solutions like Drones, Robots and Autonomous Vehicles (AV) across its human reliant verticals**. Deploying these technologies would reduce the company's dependence on human drivers, lowering exposure to labor-related regulations such as commission caps and mandatory benefits, greatly improving Grab's take rate per ride or delivery improving revenue and margins and reducing benefits related operating expenses. (2) Further attempts to cap commissions or increase mandatory contributions **could prompt Grab and its competitors to exercise their pricing power and raise fares in tandem**. Such increases would likely fuel consumer dissatisfaction and heighten cost-of-living concerns, effectively deterring governments from imposing stricter regulations. In Singapore, Grab plans to increase platform fees by \$0.30 from 1 January 2026, passing through higher costs associated with the enhanced benefits contributions mandated under the Platform Workers Act.

[F3]: Firm Risk – Improved Urban Planning

As Southeast Asia continues to develop, rising household incomes and increased government tax revenues may drive higher personal vehicle ownership and greater investment in public transportation networks. Over time, these trends could **reduce reliance on ride-hailing services**, as commuters shift to more affordable public transit options or choose to drive their own vehicles, creating a more **challenging operating environment** for companies like Grab. Furthermore, greater government emphasis on developing walkable neighborhoods and improved local mobility infrastructure could further lessen the need for ride-hailing services.

Valuation Impact: A reduction of 30% in Mobility MTUs as public transport infrastructure improves could lead to a negative impact of 11.6% on the target price, leading to a final price of \$6.46 (Figure 49).

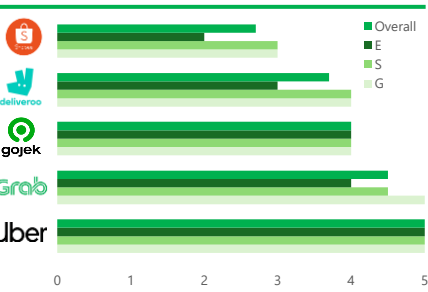
Mitigant: (1) Total spending on transportation infrastructure within the region apart from Singapore **remains lackluster**, reflecting **weak government commitment to improving public transit**. (2) Ridership on the existing public transport networks of these countries **remains muted due to poor urban planning**. Existing networks are forced to navigate around established, car-oriented areas, resulting in stations that are poorly integrated with where people live and work. Many commuters still rely on private vehicles or ride-hailing just to access the network, while secondary transport infrastructure like first/last-mile links, pedestrian paths, feeder buses, remains underdeveloped and unlikely to improve given current budget allocations. (3) Grab has also moved to integrate **its services within national public-transport ecosystems**. In the Philippines, the transportation ministry has signaled interest in Grab's autonomous-bus trials as a potential tool to address congestion and driver shortages. Beyond these pilots, Grab has begun operating shuttle-bus services in Singapore, underscoring its efforts to establish itself as a key player within the public-transport sector.

[F4]: Firm Risk – Inadequate Government Support

Several of Grab's initiatives to **enhance profitability may underperform without strong government support**. For instance, the company's pilot drone program could face scaling challenges without sufficient public investment in infrastructure and without regulatory backing for permits and approvals while the rollout of autonomous vehicles may be halted by a sudden lack of funding. Similarly, growth of Grab's DFS vertical in the absence of supportive government policies, such as the establishment of a reliable digital identification system, nationwide campaigns encouraging cashless transactions, and a more flexible regulatory environment that allows for experimentation and innovation, will be continue to be limited.

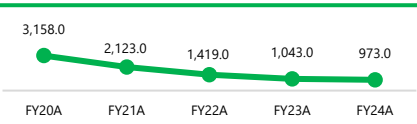
Mitigant: Governments in Southeast Asia have **demonstrated a clear and proactive commitment to easing fintech regulations, both at the national and regional level**. ASEAN members, are actively working on a Digital Economy Framework Agreement (DEFA), a collaborative initiative aimed at harmonising regulatory frameworks and facilitating cross-border data flows. Furthermore, countries like Vietnam and Indonesia, which have lagged regional peers in deregulating, have introduced similar domestic reforms with similar deregulatory provisions.

Figure 51: Comparative ESG Scores



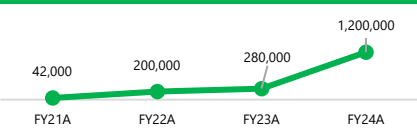
Source: Team Analysis

Figure 52: Grab's GHG/Revenue



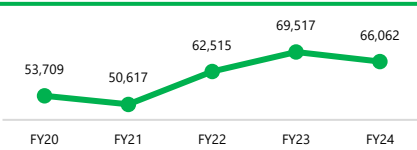
Source: Bloomberg

Figure 53: No. of Trees Planted (Est.)



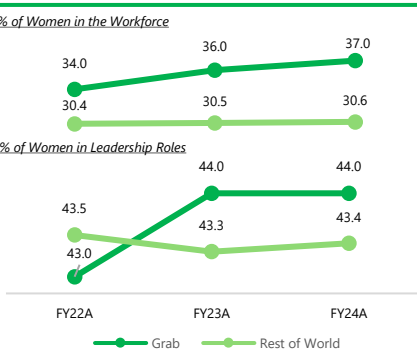
Source: Grab's ESG Reports, Team Analysis

Figure 54: Grab's GHG/MTU



Source: Team Analysis

Figure 55: Proportion of Global Workforce & Leadership Roles held by Women



Source: Grab's ESG Reports, LinkedIn

Figure 56: Employee Benefits and Perks Survey



Source: Glassdoor

Figure 57: UN SDGs met by Grab



Source: UN Sustainable Development Goals, Company Reports, Team Analysis

Grab's ESG strategy is deeply ingrained into its operations through their E, S and G pillars. Their ESG framework is deeply embedded within its operating model, positioning the model as a regional ESG leader in Southeast Asia's digital economy with their ESG scores improving constantly. This **enhances brand trust, regulatory alignment and long-term profitability across Southeast Asia**. Through their measurable environmental goals, inclusive social programs and transparent governance, Grab uses ESG not simply as a compliance, but as a strategic moat that differentiates it from regional and global peers. Based on our team's analysis, Grab's indicatives are shown from higher ESG scores compared to its peers (Figure 51, Annex 4.6) and support seven Sustainable Development Goals (Figure 57) and improving ESG scores, (Annex 4.5) reinforcing a structured ESG strategy.

ESG Regulatory Environment

Grab's ESG framework aligns closely with international and regional standards, including the Singapore Exchange Sustainability Reporting Guidelines and the ASEAN Taxonomy for Sustainable Finance. In Malaysia, its decarbonisation roadmap follows Bank Negara's Climate Risk Management framework, while its GHG accounting adheres to the global GHG Protocol. This places Grab ahead of **upcoming carbon disclosure mandates**. Furthermore, oversight by a Board-level Sustainability and Risk Committee and a CEO-CFO-led steering group, alongside regular third-party assurance, reinforces its credibility and investor confidence.

ESG Performance Analysis – Environment (E)

Fleet decarbonisation and electrification: Grab is **targeting carbon neutrality** by FY40E and is scaling low-emission mobility through both supply and demand levers. As of FY24A, 7% of distance travelled (km) for mobility and delivery orders were completed via EVs, hybrids, or walking, which cut carbon intensity by 4.7% and reducing carbon dioxide emissions by 128k tonnes. **Strategic partnerships** provide drivers with affordable EV access and charging infrastructure, helping lower long-term costs and emissions across Southeast Asia.

Emissions management and energy efficiency: Grab applies the **GHG Protocol**, reporting 2.73 million tonnes of CO₂ emissions in FY23A alongside a 32% year-on-year reduction in emissions intensity. Scope 2 emissions declined from 2.17% to 1.90% of total emissions between FY23A and FY24A through greater use of renewable power and energy-efficient offices, while AI-driven data-centre optimisation reduced electricity consumption by 8%. As a result, Grab's GHG/Revenue has continued to decline, signaling **improving carbon efficiency relative to revenue**, highlighting efforts made to shift their business model to more sustainable practices (Figure 52). In parallel, Grab's GHG/MTU has stabilized and trended lower post-pandemic, in spite of substantial growth in MTUs indicating that emissions are scaling more slowly than active user growth (Figure 54) At the platform level, initiatives such as batched deliveries and GrabShare drove an estimated 62,000 tonnes of CO₂ emissions avoided, with 40% of delivery orders batched. Complementing these, Grab has also scaled up tree-planting programmes to support carbon offsetting and ecosystem restoration as part of its broader decarbonisation strategy (Figure 53).

Waste reduction and circular packaging: Grab's packaging roadmap targets "Zero Packaging Waste in Nature by 2040", reporting **8,385 tonnes of waste recycled in FY24A**. A key driver of this is "Cutlery Opt-Out" in their app, saving 929 million cutlery sets from usage in delivery orders. Grab is also piloting technological sustainability initiatives such as 18 AI-driven reverse vending machines in Klang Valley, Malaysia, to support recycling efforts.

ESG Performance Analysis – Social (S)

Community Impact: Grab supports its partners and the community through a **range of training, education and crisis relief efforts**. In FY24A, more than 1.3M driver-partners took a course on GrabAcademy, including digital literacy support such as a Microsoft-linked Digital Literacy Certification Programme. GrabScholar, supported by the GrabForGood Fund, supports more than 1,700 students annually. In terms of disaster relief, Grab utilises their platform and resources to provide timely support, with more than US\$540,000 disbursed to disaster relief efforts.

Diversity & Inclusion: More than **135,000 women and partners with disabilities (PWDs)** earned an income through Grab in FY24A and aims to increase that number to 300,000 by FY30E. As of FY24A, 44% of its global workforce and 37% of leadership roles are held by women, **versus 34%-40%** in technology across six Southeast Asian countries (Figure 55), suggesting that Grab is outperforming the sector on representation. Grab remains committed to economic empowerment of underserved groups such as women and the disabled through platform-enabled gig work. Grab has initiatives to make gig work accessible to the marginalised through programs such as its Women Driver's Program. The program includes features such as a 'Women Passengers Preferred' feature which saw more than 1 in 2 women driver-partners using it. Such initiatives show Grab's actionable efforts to break down barriers such as safety concerns and cultural perceptions for gig-workers from marginalised groups.

Employee Wellbeing: Grab's workforce strategy prioritises **physical safety, mental health, and social protection across both employees and gig partners**. Employee wellbeing is supported through comprehensive benefits, flexible work arrangements, and the Grabber Assistance Programme (GAP), which provides confidential 24/7 mental health support. On platform safety, 99.9% of rides were completed without safety incidents in FY24A, alongside a 24.5% year-on-year reduction in reported in-person incidents. Gig-worker wellbeing is further supported through safety training via GrabAcademy, in-app Safety Centre features (Share My Ride, SOS, reporting) with 24/7 incident response, and 100% insurance coverage for driver-partners, complemented by national social-security tie-ups such as PERKESO in Malaysia. However, despite these initiatives, Grab continues to score below peers on employee wellbeing, indicating room for further improvement (Figure 56).

ESG Performance Analysis – Governance (G)

Leadership Structure: Grab governance is board-led, which serves as the **ultimate decision-making body** across its regional operations. The Board of Directors (Annex 4.3) comprises of 7 members, of which 71% are independent directors providing an effective check and balance in Grab's governance. The board is supported by **specialised committees** including the Audit, Compensation and Nominating Committee to enhance checks and balances across operational domains. The Audit Committee is designated as the Board's ESG oversight body, monitoring progress on ESG targets throughout the year and undertaking the annual ESG report to the board.

Dual-class share structure: Grab operates a **dual-class share structure** which gives Anthony Tan a 2.2% in the company with 162.9 million Class B Ordinary shares which gives him a 60.4% voting power after its merger with Altimeter Growth Corp, a US-based SPAC. From an ESG standpoint, this setup raises governance concerns, as concentrated control can limit minority shareholder influence and reduce checks on executive decision-making. It also enhances strategic continuity, shielding management from short-term market pressure and enabling Grab to pursue long-term ESG priorities such as financial inclusion, partner welfare, and carbon reduction initiatives.

Accountability & Ethics: Grab uses an independent third party to maintain its whistleblowing portal and hotline, with cases investigated and then submitted to a Remediation Council. Grab also reports 97.2% completion of mandatory training in 2024 covering anti-bribery and corruption, whistleblowing, conflicts of interest, data privacy, and insider trading among others.

1.1 – Income Statement												
		Historical (31 Dec)					Forecasted (31 Dec)					
In USD Mn, unless stated otherwise		Units	FY20A	FY21A	FY22A	FY23A	FY24A	FY25E	FY26E	FY27E	FY28E	FY29E
Deliveries	USD Mns		5.0	148.0	724.0	1,310.0	1,493.0	1,777.4	2,109.9	2,528.2	3,029.4	3,627.8
Mobility	USD Mns		438.0	456.0	643.0	871.0	1,047.0	1,346.1	1,729.4	2,236.2	2,888.0	3,724.1
Financial Services	USD Mns		(10.0)	27.0	64.0	177.0	253.0	317.9	394.5	484.2	589.6	719.1
Enterprise, Others and New Initiatives	USD Mns		36.0	44.0	2.0	1.0	4.0	5.8	8.3	12.0	17.3	24.9
Total Revenues	USD Mns		469.0	675.0	1,433.0	2,359.0	2,797.0	3,447.2	4,242.2	5,260.5	6,524.3	8,096.0
Cost of Revenues	USD Mns		(963.0)	(1,070.0)	(1,356.0)	(1,499.0)	(1,623.0)	(1,914.1)	(2,249.5)	(2,658.0)	(3,133.4)	(3,685.8)
Gross Profit	USD Mns		(494.0)	(395.0)	77.0	860.0	1,174.0	1,533.1	1,992.7	2,602.6	3,390.9	4,410.2
Gross Profit Margin	%		(105.3%)	(58.5%)	5.4%	36.5%	42.0%	44.5%	47.0%	49.5%	52.0%	54.5%
Operating Items												
Sales and Marketing Expenses	USD Mns		(151.0)	(241.0)	(278.0)	(293.0)	(324.0)	(382.1)	(449.0)	(530.5)	(625.3)	(735.4)
General and Administrative Expenses	USD Mns		(326.0)	(544.0)	(646.0)	(550.0)	(512.0)	(613.8)	(734.1)	(884.1)	(1,063.8)	(1,279.6)
Research and Development Expenses	USD Mns		(257.0)	(356.0)	(465.0)	(421.0)	(410.0)	(505.3)	(600.6)	(718.5)	(858.5)	(1,024.8)
Other Income	USD Mns		33.0	12.0	17.0	17.0	17.0	40.9	50.3	62.4	77.4	96.0
Other Expenses	USD Mns		(40.0)	(11.0)	(12.0)	(4.0)	(4.0)	(28.9)	(35.5)	(44.1)	(54.6)	(67.8)
Net Impairment Losses on Financial Assets	USD Mns		(63.0)	(19.0)	(58.0)	(72.0)	(95.0)	(117.1)	(144.1)	(178.7)	(221.6)	(275.0)
Restructuring Costs	USD Mns		-	(1.0)	(8.0)	(56.0)	(14.0)	(17.3)	(21.2)	(26.3)	(32.7)	(40.5)
Net Change in Fair Value of Financial Assets and Liabilities	USD Mns		-	37.0	(294.0)	(39.0)	-	-	-	-	-	-
Share Listing and Associated Expenses	USD Mns		-	(353.0)	-	-	-	-	-	-	-	-
Total Operating Items	USD Mns		(804.0)	(1,476.0)	(1,744.0)	(1,418.0)	(1,342.0)	(1,623.5)	(1,934.2)	(2,319.7)	(2,779.1)	(3,327.1)
Operating Income	USD Mns		(1,298.0)	(1,871.0)	(1,667.0)	(558.0)	(168.0)	(90.4)	58.4	282.9	611.8	1,083.1
Non-Operating Items												
Non-operating Income/expense	USD Mns		(42.0)	-	-	-	-	-	-	-	-	-
Finance Costs	USD Mns		(1,448.0)	(1,701.0)	(166.0)	(99.0)	(106.0)	(23.8)	(21.1)	(21.1)	(21.1)	(20.9)
Finance Income	USD Mns		53.0	28.0	107.0	198.0	187.0	257.4	316.8	392.8	487.2	604.5
Earnings Before Tax	USD Mns		(2,735.0)	(3,544.0)	(1,726.0)	(459.0)	(87.0)	143.2	354.1	654.6	1,077.9	1,666.6
Provision for Income Tax	USD Mns		(2.0)	(3.0)	(6.0)	(19.0)	(63.0)	0.5	1.2	2.3	3.7	5.8
Share of Loss of Equity Accounted Investee (net of Tax)	USD Mns		(8.0)	(8.0)	(8.0)	(7.0)	(8.0)	(19.2)	(23.7)	(29.4)	(36.4)	(45.2)
Minority Interest (After Tax)	USD Mns		137.0	106.0	57.0	51.0	53.0	-	-	-	-	-
Net Income	USD Mns		(2,608.0)	(3,449.0)	(1,683.0)	(434.0)	(105.0)	124.4	331.6	627.5	1,045.2	1,627.2
1.2 – Balance Sheet												
Balance Sheet			FY20A	FY21A	FY22A	FY23A	FY24A	FY25E	FY26E	FY27E	FY28E	FY29E
Assets												
Current Assets:												
Cash and Cash Equivalents	USD Mns		2,173.0	4,991.0	1,952.0	3,138.0	2,964.0	3,387.3	3,227.7	3,232.7	1,940.5	2,397.5
Other Investments	USD Mns		1,298.0	3,240.0	3,134.0	1,905.0	2,665.0	2,757.7	3,181.6	3,682.4	4,240.8	4,857.6
Deposits Prepayments and Other Assets	USD Mns		-	-	182.0	208.0	241.0	297.0	365.5	453.3	562.2	697.6
Trade and Other Receivables	USD Mns		172.0	255.0	187.0	196.0	206.0	254.6	313.3	388.5	480.5	597.9
Loan receivables in the Financial Services segment	USD Mns		-	-	185.0	272.0	431.0	397.5	489.1	606.6	752.3	933.5
Inventories	USD Mns		3.0	4.0	48.0	49.0	59.0	112.7	138.7	172.0	212.7	264.6
Prepayments and Other Assets	USD Mns		109.0	185.0	-	-	-	-	-	-	-	-
Total Current Assets	USD Mns		3,755.0	8,675.0	5,688.0	5,768.0	6,566.0	7,206.7	7,715.9	8,535.4	8,189.0	9,748.7
Non-Current Assets:												
Property, Plant and Equipment	USD Mns		384.0	441.0	492.0	512.0	567.0	553.6	547.1	551.0	586.1	703.9
Associates and Joint Ventures	USD Mns		9.0	14.0	107.0	102.0	131.0	149.1	183.4	227.5	282.1	350.1
Other Investments	USD Mns		377.0	1,241.0	1,742.0	1,188.0	765.0	942.8	1,160.3	1,438.8	1,784.5	2,214.3
Deferred Tax Assets	USD Mns		-	5.0	20.0	56.0	67.0	48.1	59.2	73.4	91.1	113.0
Other Receivables	USD Mns		-	-	-	-	-	-	-	-	-	-
Loan receivables in the Financial Services segment	USD Mns		-	-	-	54.0	105.0	-	-	-	-	-
Intangible Assets and Goodwill	USD Mns		913.0	675.0	904.0	916.0	975.0	961.3	947.0	932.9	998.5	1,080.1
Deposits Prepayments and Other Assets	USD Mns		4.0	127.0	217.0	196.0	119.0	286.4	352.5	437.1	542.1	672.7
Total Non-Current Assets	USD Mns		1,687.0	2,503.0	3,482.0	3,024.0	2,729.0	2,941.2	3,249.5	3,660.7	4,284.3	5,134.0
Total Assets	USD Mns		5,442.0	11,178.0	9,170.0	8,792.0	9,295.0	10,148.0	10,965.4	12,196.0	12,473.3	14,882.8
Liabilities												
Current Liabilities:												
Trade and Other Payables	USD Mns		661.0	844.0	930.0	925.0	1,169.0	1,444.7	1,777.9	2,204.7	2,726.8	3,393.0
Loans and Borrowings	USD Mns		140.0	144.0	117.0	125.0	123.0	1,584.0	1,584.0	1,584.0	75.0	-
Current Tax Liabilities	USD Mns		-	3.0	9.0	15.0	34.0	21.6	26.6	33.0	41.0	50.8
Provisions	USD Mns		35.0	35.0	38.0	39.0	41.0	91.4	112.5	139.5	173.0	214.7
Deposits from Customers in the Banking Business	USD Mns		-	-	3.0	374.0	1,225.0	7.2	8.9	11.0	13.7	16.9
Total Current Liabilities	USD Mns		836.0	1,026.0	1,097.0	1,478.0	2,592.0	3,149.0	3,509.9	3,972.2	3,029.5	3,675.5
Non-Current Liabilities:												
Convertible Redeemable Preference Shares	USD Mns		10,767.0	-	-	-	-	-	-	-	-	-
Loans and Borrowings	USD Mns		111.0	2,031.0	1,248.0	668.0	241.0	241.0	241.0	241.0	241.0	158.0
Deferred Tax Liabilities	USD Mns		1.0	3.0	18.0	20.0	25.0	29.2	36.0	44.6	55.3	68.6
Minority Interest	USD Mns		105.0	286.0	54.0	19.0	(48.0)	(48.0)	(48.0)	(48.0)	(48.0)	(48.0)
Other Liabilities	USD Mns		-	81.0	132.0	140.0	66.0	204.6	251.8	312.2	387.2	480.5
Provisions	USD Mns		3.0	18.0	18.0	18.0	20.0	3.0	18.0	18.0	18.0	20.0
Trade and Other Payables	USD Mns		18.0	-	-	-	-	-	-	-	-	-
Other Payables	USD Mns		-	-	-	-	-	-	-	-	-	-
Total Non-Current Liabilities	USD Mns		11,005.0	2,419.0	1,470.0	865.0	304.0	429.8	498.7	567.8	653.5	679.1
Total Liabilities	USD Mns		11,841.0	3,445.0	2,567.0	2,343.0	2,896.0	3,578.8	4,008.6	4,540.0	3,683.0	4,354.6
Shareholders' Equity												
Common Stock - Par Value	USD Mns		140.0	21,529.0	22,278.0	22,669.0	23,549.0	23,549.0	23,549.0	23,549.0	23,549.0	23,549.0
Accumulated Losses	USD Mns		(10,490.0)	(14,402.0)	(16,277.0)	(16,764.0)	(17,347.0)	(17,222.6)	(16,891.0)	(16,263.5)	(15,218.3)	(13,591.0)
Reserves	USD Mns		3,951.0	606.0	602.0	544.0	197.0	242.8	298.8	370.5	459.5	570.2
Total Shareholders' Equity	USD Mns		(6,399.0)	7,733.0	6,603.0	6,449.0	6,399.0	6,569.2	6,956.8	7,656.0	8,790.3	10,528.2
Total Liabilities & Shareholders' Equity	USD Mns		5,442.0	11,178.0	9,170.0	8,792.0	9,295.0	10,148.0	10,965.4	12,196.0	12,473.3	14,882.8
Balance Check			OK	OK	OK	OK	OK	OK	OK	OK	OK	OK

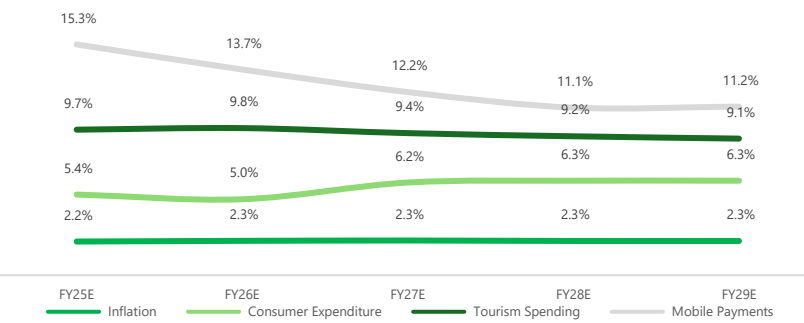
1.3 – Cash Flow Statement

Statement of Cash Flows		FY20A	FY21A	FY22A	FY23A	FY24A	FY25E	FY26E	FY27E	FY28E	FY29E
Cash Flow From Operating Activities											
Net Income	USD Mns	(2,608.0)	(3,449.0)	(1,683.0)	(434.0)	(105.0)	124.4	331.6	627.5	1,045.2	1,627.2
Adjustments:											
Depreciation of Property, Plant and Equipment	USD Mns	126.0	109.0	129.0	128.0	122.0	188.0	221.2	262.5	295.2	292.1
Amortization of Intangible Assets	USD Mns	261.0	236.0	21.0	17.0	25.0	86.0	103.1	124.3	71.1	88.0
Changes in Operating Working Capital:											
(Increase)/Decrease in Trade and Other Receivables	USD Mns						(48.6)	(58.7)	(75.2)	(92.0)	(117.4)
(Increase)/Decrease in Inventories	USD Mns						(53.7)	(26.0)	(33.3)	(40.7)	(52.0)
(Increase)/Decrease in Prepayments and Other Assets	USD Mns						-	-	-	-	-
(Increase)/Decrease in Deposits, Prepayments and Other Assets	USD Mns						(56.0)	(68.5)	(87.7)	(108.9)	(135.4)
(Increase)/Decrease in Trade and Other Payables	USD Mns						275.7	333.2	426.8	522.2	666.1
(Increase)/Decrease in Provisions (Current)	USD Mns						50.4	21.1	27.0	33.5	41.7
(Increase)/Decrease in Current Tax Liabilities	USD Mns						(12.4)	5.0	6.4	7.9	9.9
Changes in Other Operating Items:											
(Increase)/Decrease in Associates and Joint Ventures	USD Mns						(18.1)	(34.4)	(44.0)	(54.6)	(68.0)
(Increase)/Decrease in Deferred Tax Assets	USD Mns						18.9	(11.1)	(14.2)	(17.6)	(21.9)
(Increase)/Decrease in Other Receivables	USD Mns						-	-	-	-	-
(Increase)/Decrease in Deposits, Prepayments and Other Assets (Non-Current)	USD Mns						(167.4)	(66.1)	(84.6)	(105.0)	(130.6)
(Increase)/Decrease in Deferred Tax Liabilities	USD Mns						4.2	6.7	8.6	10.7	13.3
(Increase)/Decrease in Provisions (Non-Current)	USD Mns						(17.0)	15.0	-	-	2.0
(Increase)/Decrease in Other Liabilities (Non-Current)	USD Mns						138.6	47.2	60.4	75.0	93.3
(Increase)/Decrease in Other Payables (Non-Current)	USD Mns						-	-	-	-	-
Cash Flow From Operating Activities	USD Mns	(643.0)	(954.0)	(798.0)	86.0	852.0	513.0	819.4	1,204.5	1,642.0	2,308.4
Cash Flow From Investing Activities											
Purchase of Property, Plant and Equipment	USD Mns	(22.0)	(73.0)	(58.0)	(71.0)	(77.0)	(174.5)	(214.8)	(266.3)	(330.3)	(409.9)
Purchase of Intangible Assets and Goodwill	USD Mns						(72.2)	(88.9)	(110.2)	(136.7)	(169.6)
(Increase)/Decrease in Other Investments (Current)	USD Mns						(92.7)	(423.9)	(500.8)	(558.4)	(616.8)
(Increase)/Decrease in Other Investments (Non-Current)	USD Mns						(177.8)	(217.4)	(278.5)	(345.7)	(429.9)
(Increase)/Decrease in Loan Receivables in the FS Segment (Current)	USD Mns						33.5	(91.7)	(117.4)	(145.7)	(181.2)
(Increase)/Decrease in Loan Receivables in the FS Segment (Non-Current)	USD Mns						105.0	-	-	-	-
(Increase)/Decrease in Investments in Deposits from Customers in the Banking Business	USD Mns						(1,217.8)	1.7	2.1	2.6	3.3
(Increase)/Decrease in Investments in Reserves	USD Mns						45.8	56.0	71.7	89.0	110.7
Cash Flow From Investing Activities	USD Mns	(288.0)	(2,757.0)	(1,062.0)	1,871.0	(231.0)	(1,550.8)	(979.0)	(1,199.4)	(1,425.2)	(1,693.4)
Cash Flow From Financing Activities											
Debt Payments	USD Mns						(39.0)	-	-	(1,509.0)	(158.0)
Debt Financing	USD Mns						1,500.0	-	-	-	-
Equity Financing	USD Mns						-	-	-	-	-
Cash Flow From Financing Activities	USD Mns	(288.0)	(2,757.0)	(1,062.0)	1,871.0	(231.0)	1,461.0	-	-	(1,509.0)	(158.0)
Changes in Cash and Equivalents											
(+) Foreign Exchange Rate Effect on Cash and Cash Equivalents	USD Mns	15.0	(37.0)	(57.0)	(1.0)	(24.0)	-	-	-	-	-
Cash Flow Net Changes in Cash	USD Mns						423.3	(159.6)	5.0	(1,292.2)	457.0
(+) Cash and Cash Equivalents, BOP	USD Mns						2,964.0	3,387.3	3,227.7	3,232.7	1,940.5
Cash and Cash Equivalents, EOP	USD Mns					2,964.0	3,387.3	3,227.7	3,232.7	1,940.5	2,397.5

1.4 – Revenue Build Methodology

Deliveries Revenue Build											
Assumptions:			Operating Equation:				Volume Driven By Consumer Expenditure of Each Operating Geography				
Brand Premium		7.5%	Deliveries GMV = GMV per MTU (ASP) x MTU (Volume)				Price Driven By Inflation of Each Operating Geography				
Deliveries Take Rate Step		0.4%	Deliveries Revenue = Take Rate x Deliveries GMV								
Deliveries	USD Mns	5.0	148.0	724.0	1,310.0	1,493.0	1,777.4	2,109.9	2,528.2	3,029.4	3,627.8
%yoy			2860.0%	389.2%	80.9%	14.0%	19.1%	18.7%	19.8%	19.8%	19.8%
Deliveries Gross Merchant Value (GMV)	USD Mns	5,468.0	8,530.0	10,007.0	10,365.0	11,724.0	13,532.5	15,589.3	18,143.0	21,133.7	24,621.2
%yoy			56.0%	17.3%	3.6%	13.1%	15.4%	15.2%	16.4%	16.5%	16.5%
Deliveries Take Rate	%	0.1%	1.7%	7.2%	12.6%	12.7%	13.1%	13.5%	13.9%	14.3%	14.7%
Monthly Transacting Users (Volume)											
Overall MTUs	Mns	14.8	17.3	19.4	19.1	21.7	24.5	27.6	31.4	35.7	40.7
			16.9%	12.1%	(1.5%)	13.6%	12.9%	12.6%	13.7%	13.9%	13.9%
Average Selling Price											
Overall GMV per MTU	USD	369.5	493.1	515.8	542.7	540.3	552.4	565.2	578.3	591.6	605.3
			33.5%	4.6%	5.2%	(0.4%)	2.3%	2.3%	2.3%	2.3%	2.3%
Mobility Revenue Build											
Assumptions:			Operating Equation:				Volume Driven By Consumer Expenditure and Tourism Spending of Each Operating Geography				
Brand Premium		7.5%	Mobilities GMV = GMV per MTU (ASP) x MTU (Volume)				Price Driven By Inflation of Each Operating Geography				
Mobility Take Rate Step		0.4%	Mobility Revenue = Take Rate x Mobility GMV								
Mobility	USD Mns	438.0	456.0	643.0	871.0	1,047.0	1,346.1	1,729.4	2,236.2	2,888.0	3,724.1
%yoy			4.1%	41.0%	35.5%	20.2%	28.6%	28.5%	29.3%	29.2%	29.0%
Mobility Gross Merchant Value (GMV)	USD Mns	3,232.0	2,787.0	4,106.0	5,420.0	6,640.0	8,325.7	10,438.0	13,178.6	16,628.3	20,959.6
%yoy			(13.8%)	47.3%	32.0%	22.5%	25.4%	25.4%	26.3%	26.2%	26.0%
Mobility Take Rate	%	13.6%	16.4%	15.7%	16.1%	15.8%	16.2%	16.6%	17.0%	17.4%	17.8%
Monthly Transacting Users (Volume)											
Overall MTUs	Mns	14.6	11.4	16.3	20.4	25.3	31.0	38.0	46.9	57.9	71.3
%yoy			(21.9%)	43.0%	25.2%	24.0%	22.6%	22.5%	23.4%	23.3%	23.2%
Average Selling Price											
Overall GMV per MTU	USD	221.4	244.5	251.9	265.7	262.5	268.4	274.5	280.9	287.4	294.0
			10.4%	3.0%	5.5%	(1.2%)	2.3%	2.3%	2.3%	2.3%	2.3%
Financial Services Revenue Build											
Assumptions:			Operating Equation:				Volume Driven By Mobile Payments of Each Operating Geography				
Brand Premium		7.5%	FS Revenue = FS MTU x FS ASP				Price Driven By Inflation of Each Operating Geography				
Financial Services	USD Mns	(10.0)	27.0	64.0	177.0	253.0	317.9	394.5	484.2	589.6	719.1
%yoy			(370.0%)	137.0%	176.6%	42.9%	25.6%	24.1%	22.7%	21.8%	22.0%
Monthly Transacting Users (Volume)											
Overall MTUs	Mns	10.4	12.7	21.3	23.3	26.4	32.4	39.4	47.2	56.2	67.0
			22.1%	67.7%	9.4%	13.3%	22.9%	21.3%	19.9%	19.0%	19.2%
Average Selling Price											
Overall ASP	USD	(1.0)	2.1	3.0	7.6	9.6	9.8	10.0	10.3	10.5	10.7
			(321.1%)	41.3%	152.8%	26.2%	2.3%	2.3%	2.3%	2.3%	2.3%

1.5 – Revenue Weighted Macroeconomic Data Used For Revenue Build



Our Revenue drivers were imported from Euromonitor (Inflation, Consumer Expenditure & Tourism Spending) and Statista (Mobile Payments). Following that, Grab's operating Geographies were then extracted from each individual dataset before growing our projected geographical unit drivers (Price and Volume) using each individual countries macroeconomic data. We utilised this to provide a more robust framework than pure extrapolation as it anchors growth assumptions to underlying demand drivers rather than historical trends alone. This allows our projections to better capture changes in market size and user behaviours across economic cycles, reducing sensitivity to short-term volatility and improves the durability and defensibility of long-term revenue forecasts.

1.6 – DCF Model & Valuation Summary

DCF Model	FY20A	FY21A	FY22A	FY23A	FY24A	FY25E	FY26E	FY27E	FY28E	FY29E
General Assumptions										
WACC:	10.6%									
Tax Rate:	21.5%									
Valuation Date:	6 Jan 2026									
Revenue	469.0	675.0	1,433.0	2,359.0	2,797.0	3,447.2	4,242.2	5,260.5	6,524.3	8,096.0
%yoy		43.9%	112.3%	64.6%	18.6%	23.2%	23.1%	24.0%	24.0%	24.1%
EBITDA	(900.0)	(1,498.0)	(1,410.0)	(215.0)	166.0	440.9	699.5	1,062.5	1,465.3	2,067.7
%revenue	(191.9%)	(221.9%)	(98.4%)	(9.1%)	5.9%	12.8%	16.5%	20.2%	22.5%	25.5%
EBIT	(1,287.0)	(1,843.0)	(1,560.0)	(360.0)	19.0	167.0	375.2	675.7	1,099.0	1,687.6
%revenue	(274.4%)	(273.0%)	(108.9%)	(15.3%)	0.7%	4.8%	8.8%	12.8%	16.8%	20.8%
Tax rate						21.5%	21.5%	21.5%	21.5%	21.5%
NOPAT						131.1	294.5	530.4	862.7	1,324.8
(+) D&A						273.9	324.3	386.8	366.3	380.1
(-) Capital Expenditures						(246.8)	(303.7)	(376.6)	(467.0)	(579.5)
(-) Increases in Net Working Capital						117.4	180.0	230.5	280.5	361.4
UFCF						275.7	495.2	771.2	1,042.6	1,486.7
Discount Factor						0.01	1.01	2.01	3.01	4.01
PV of UFCF						275.4	460.0	686.5	900.4	1,254.1

DCF Value Summary			EV/EBITDA Exit Multiple Method		
Gordon Growth Method			Terminal Multiple - EV/EBITDA		
Terminal Growth Rate	4.0%		FY2029 EBITDA	2,067.7	
FY2029 UFCF x (1+g)	1,546.2		Terminal Value in FY29E	55,588.7	
Terminal Value in FY29E	23,563.1		PV of Terminal Value	37,170.6	
PV of Terminal Value	15,756.0		PV of Stage 1 Cash Flows	3,576.5	
PV of Stage 1 Cash Flows	3,576.5		Implied Enterprise Value	40,747.0	
Implied Enterprise Value	19,332.5		(+) Cash and Cash Equivalents	2,964.0	
(+) Cash and Cash Equivalents	2,964.0		(+) Short-Term Investments	-	
(+) Other Financial Assets	-		(+) Investments in associates and joint ventures	131.0	
(+) Investments in associates and joint ventures	131.0		(-) MV of Total Debt	(364.0)	
(-) MV of Total Debt	(364.0)		(-) Non-Controlling Interest	-	
(-) Non-Controlling Interest	-		Implied Equity Value	43,478.0	
Implied Equity Value	22,063.5		Fully Diluted Shares Outstanding	4,037.0	
Fully Diluted Shares Outstanding	4,037.0		Implied Share Price	\$10.77	
Implied Share Price	\$5.47		Current Share price	\$5.27	
Current Share price	\$5.27		Implied upside	104.4%	
Implied upside	3.7%				

Final Valuation Summary		
DCF - Gordon Growth Method	\$5.47	40.0%
DCF - Exit Multiple Method	\$10.77	40.0%
Relative Valuation - EV/ CY26 EBITDA	\$3.57	20.0%
Final Share Price	\$7.20	100.0%
Current Share price	\$5.27	
Implied upside	36.6%	
DCF Share Price		
DCF - Gordon Growth Method	\$5.47	50.0%
DCF - Exit Multiple Method	\$10.77	50.0%
Final DCF Share Price	\$8.12	100.0%
Current Share price	\$5.27	
Implied upside	54.0%	
Relative Valuation		
EV/ CY26 EBITDA	\$3.57	100.0%
Final DCF Share Price	\$3.57	100.0%
Current Share price	\$5.27	
Implied upside	(32.3%)	

1.7 – Relative Valuation (Sum-of-the-Parts Methodology)

Sum-of-the-Parts Relative Valuation (Median)											
Segments:	Revenue:	Weightage:									
Deliveries	1,493.0	53.4%	15.3x	23.0x	13.3x	2.0x	1.9x	1.6x	18.3x	23.8x	45.5x
Mobility	1,047.0	37.4%	3.6x	33.0x	18.0x	2.8x	2.7x	2.4x	5.8x	5.3x	67.6x
Financial Services	253.0	9.0%	24.8x	24.7x	17.1x	3.4x	2.7x	2.7x	48.7x	28.6x	28.9x
Enterprise, Others and New Initiatives	4.0	0.1%	14.5x	26.9x	16.1x	2.7x	2.6x	2.2x	24.2x	19.2x	47.4x
Total	2,797.0	100.0%	11.7x	26.9x	15.4x	2.4x	2.3x	2.0x	16.4x	17.3x	52.3x
Relative Valuation (Sum-of-the-Parts)											
			EV/EBITDA			EV/Revenue			P/E		
			LTM	CY+1	CY+2	LTM	CY+1	CY+2	LTM	CY+1	CY+2
Enterprise Value			1,949.1	11,854.1	10,781.2	6,810.7	8,066.1	8,505.6			
(+) Cash & Equivalents			2,964.0	2,964.0	2,964.0	2,964.0	2,964.0	2,964.0			
(-) Total Debt			364.0	364.0	364.0	364.0	364.0	364.0			
(-) Minority Interests			43.0	43.0	43.0	43.0	43.0	43.0			
Equity Value			4,506.1	14,411.1	13,338.2	9,367.7	10,623.1	11,062.6	(1,719.6)	2,154.1	17,344.5
Fully Diluted Shares Outstanding (mm)			4,037.0	4,037.0	4,037.0	4,037.0	4,037.0	4,037.0	4,037.0	4,037.0	4,037.0
Equity Value (USD) per Share			\$1.12	\$3.57	\$3.30	\$2.32	\$2.63	\$2.74	-\$0.43	\$0.53	\$4.30

1.8 – Trading Comparables

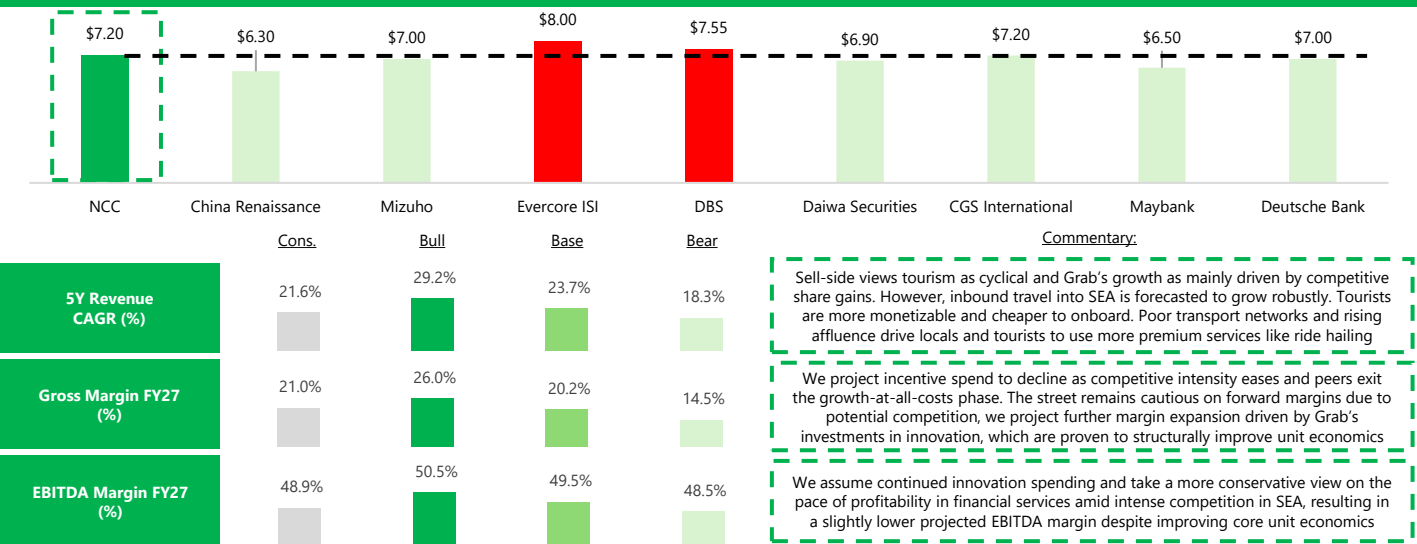
				EV/EBITDA			EV/Revenue			P/E				
				LTM	CY+1	CY+2	LTM	CY+1	CY+2	LTM	CY+1	CY+2		
Mobility														
Singapore														
PT GoTo Gojek Tokopedia Tbk (IDX:GOTO)				-	41.6x	21.7x	2.9x	2.8x	2.4x	-	-	86.3x		
ComfortDelGro Corporation Limited (SGX:C52)				6.0x	5.5x	5.3x	0.9x	0.9x	0.9x	19.9x	13.7x	12.5x		
Average				3.0x	23.5x	13.5x	1.9x	1.8x	1.6x	10.0x	6.8x	49.4x		
Median				3.0x	23.5x	13.5x	1.9x	1.8x	1.6x	10.0x	6.8x	49.4x		
1st Quartile				1.5x	14.5x	9.4x	1.4x	1.4x	1.2x	5.0x	3.4x	30.9x		
3rd Quartile				4.5x	32.6x	17.6x	2.4x	2.3x	2.0x	14.9x	10.2x	67.9x		
Malaysia														
PT GoTo Gojek Tokopedia Tbk (IDX:GOTO)				-	41.6x	21.7x	2.9x	2.8x	2.4x	-	-	86.3x		
Average				0.0x	41.6x	21.7x	2.9x	2.8x	2.4x	0.0x	0.0x	86.3x		
Median				0.0x	41.6x	21.7x	2.9x	2.8x	2.4x	0.0x	0.0x	86.3x		
1st Quartile				0.0x	41.6x	21.7x	2.9x	2.8x	2.4x	0.0x	0.0x	86.3x		
3rd Quartile				0.0x	41.6x	21.7x	2.9x	2.8x	2.4x	0.0x	0.0x	86.3x		
Indonesia														
PT GoTo Gojek Tokopedia Tbk (IDX:GOTO)				-	41.6x	21.7x	2.9x	2.8x	2.4x	-	-	86.3x		
PT Blue Bird Tbk (IDX:BIRD)				4.0x	3.9x	3.4x	1.0x	0.9x	0.9x	10.3x	6.8x	6.1x		
Average				2.0x	22.7x	12.5x	2.0x	1.9x	1.6x	5.2x	3.4x	46.2x		
Median				2.0x	22.7x	12.5x	2.0x	1.9x	1.6x	5.2x	3.4x	46.2x		
1st Quartile				1.0x	13.3x	8.0x	1.5x	1.4x	1.2x	2.6x	1.7x	26.2x		
3rd Quartile				3.0x	32.2x	17.1x	2.4x	2.3x	2.0x	7.7x	5.1x	66.3x		
Philippines														
PT GoTo Gojek Tokopedia Tbk (IDX:GOTO)				-	41.6x	21.7x	2.9x	2.8x	2.4x	-	-	86.3x		
Average				0.0x	41.6x	21.7x	2.9x	2.8x	2.4x	0.0x	0.0x	86.3x		
Median				0.0x	41.6x	21.7x	2.9x	2.8x	2.4x	0.0x	0.0x	86.3x		
1st Quartile				0.0x	41.6x	21.7x	2.9x	2.8x	2.4x	0.0x	0.0x	86.3x		
3rd Quartile				0.0x	41.6x	21.7x	2.9x	2.8x	2.4x	0.0x	0.0x	86.3x		
Thailand														
PT GoTo Gojek Tokopedia Tbk (IDX:GOTO)				-	41.6x	21.7x	2.9x	2.8x	2.4x	-	-	86.3x		
BTS Group Holdings Public Company Limited (SET:BTS)				55.0x	29.6x	23.7x	10.8x	10.9x	10.1x	55.7x	69.0x	46.6x		
Average				27.5x	35.6x	22.7x	6.9x	6.8x	6.3x	27.9x	34.5x	66.4x		
Median				27.5x	35.6x	22.7x	6.9x	6.8x	6.3x	27.9x	34.5x	66.4x		
1st Quartile				13.8x	32.6x	22.2x	4.9x	4.8x	4.3x	13.9x	17.3x	56.5x		
3rd Quartile				41.3x	38.6x	23.2x	8.8x	8.8x	8.2x	41.8x	51.8x	76.4x		
Vietnam														
PT GoTo Gojek Tokopedia Tbk (IDX:GOTO)				-	41.6x	21.7x	2.9x	2.8x	2.4x	-	-	86.3x		
Average				0.0x	41.6x	21.7x	2.9x	2.8x	2.4x	0.0x	0.0x	86.3x		
Median				0.0x	41.6x	21.7x	2.9x	2.8x	2.4x	0.0x	0.0x	86.3x		
1st Quartile				0.0x	41.6x	21.7x	2.9x	2.8x	2.4x	0.0x	0.0x	86.3x		
3rd Quartile				0.0x	41.6x	21.7x	2.9x	2.8x	2.4x	0.0x	0.0x	86.3x		
Mobility Segment Comparables				Revenue:	Weightage:									
Singapore				578.0	20.7%	3.0x	23.5x	13.5x	1.9x	1.8x	1.6x	10.0x	6.8x	49.4x
Malaysia				816.0	29.2%	0.0x	41.6x	21.7x	2.9x	2.8x	2.4x	0.0x	0.0x	86.3x
Indonesia				643.0	23.0%	2.0x	22.7x	12.5x	2.0x	1.9x	1.6x	5.2x	3.4x	46.2x
Philippines				265.0	9.5%	0.0x	41.6x	21.7x	2.9x	2.8x	2.4x	0.0x	0.0x	86.3x
Thailand				252.0	9.0%	27.5x	35.6x	22.7x	6.9x	6.8x	6.3x	27.9x	34.5x	66.4x
Vietnam				228.0	8.2%	0.0x	41.6x	21.7x	2.9x	2.8x	2.4x	0.0x	0.0x	86.3x
Rest of Southeast Asia				15.0	0.5%	1.0x	38.6x	21.7x	2.9x	2.8x	2.4x	2.6x	1.7x	76.4x
Mobility Segment (Median)				2,797.0	100.0%	3.6x	33.0x	18.0x	2.8x	2.7x	2.4x	5.8x	5.3x	67.6x
Deliveries														
Singapore														
PT GoTo Gojek Tokopedia Tbk (IDX:GOTO)				-	41.6x	21.7x	2.9x	2.8x	2.4x	-	-	86.3x		
Delivery Hero SE (XTRA:DHGR)				14.9x	8.4x	6.8x	0.6x	0.5x	0.5x	-	37.6x	19.6x		
Average				7.5x	25.0x	14.2x	1.8x	1.7x	1.5x	0.0x	18.8x	53.0x		
Median				7.5x	25.0x	14.2x	1.8x	1.7x	1.5x	0.0x	18.8x	53.0x		
1st Quartile				3.7x	16.7x	10.5x	1.2x	1.1x	1.0x	0.0x	9.4x	36.3x		
3rd Quartile				11.2x	33.3x	17.9x	2.3x	2.2x	1.9x	0.0x	28.2x	69.7x		
Malaysia														
PT GoTo Gojek Tokopedia Tbk (IDX:GOTO)				-	41.6x	21.7x	2.9x	2.8x	2.4x	-	-	86.3x		
Delivery Hero SE (XTRA:DHGR)				14.9x	8.4x	6.8x	0.6x	0.5x	0.5x	-	37.6x	19.6x		
Average				7.5x	25.0x	14.2x	1.8x	1.7x	1.5x	0.0x	18.8x	53.0x		
Median				7.5x	25.0x	14.2x	1.8x	1.7x	1.5x	0.0x	18.8x	53.0x		
1st Quartile				3.7x	16.7x	10.5x	1.2x	1.1x	1.0x	0.0x	9.4x	36.3x		
3rd Quartile				11.2x	33.3x	17.9x	2.3x	2.2x	1.9x	0.0x	28.2x	69.7x		
Indonesia														
PT GoTo Gojek Tokopedia Tbk (IDX:GOTO)				-	41.6x	21.7x	2.9x	2.8x	2.4x	-	-	86.3x		
Sea Limited (NYSE:SE)				35.3x	21.8x	17.1x	3.6x	3.4x	2.7x	70.3x	39.4x	26.8x		
Average				17.7x	31.7x	19.4x	3.3x	3.1x	2.6x	35.2x	19.7x	56.6x		
Median				17.7x	31.7x	19.4x	3.3x	3.1x	2.6x	35.2x	19.7x	56.6x		
1st Quartile				8.8x	26.7x	18.2x	3.1x	3.0x	2.5x	17.6x	9.9x	41.7x		
3rd Quartile				26.5x	36.6x	20.5x	3.4x	3.3x	2.7x	52.7x	29.6x	71.4x		
Philippines														
Delivery Hero SE (XTRA:DHGR)				14.9x	8.4x	6.8x	0.6x	0.5x	0.5x	-	37.6x	19.6x		
Sea Limited (NYSE:SE)				35.3x	21.8x	17.1x	3.6x	3.4x	2.7x	70.3x	39.4x	26.8x		
Average				25.1x	15.1x	12.0x	2.1x	2.0x	1.6x	35.2x	38.5x	23.2x		
Median				25.1x	15.1x	12.0x	2.1x	2.0x	1.6x	35.2x	38.5x	23.2x		
1st Quartile				20.0x	11.8x	9.4x	1.4x	1.3x	1.1x	17.6x	38.1x	21.4x		
3rd Quartile				30.2x	18.4x	14.5x	2.9x	2.7x	2.2x	52.7x	39.0x	25.0x		
Thailand														
Delivery Hero SE (XTRA:DHGR)				14.9x	8.4x	6.8x	0.6x	0.5x	0.5x	-	37.6x	19.6x		
Sea Limited (NYSE:SE)				35.3x	21.8x	17.1x	3.6x	3.4x	2.7x	70.3x	39.4x	26.8x		
Average				25.1x	15.1x	12.0x	2.1x	2.0x	1.6x	35.2x	38.5x	23.2x		
Median				25.1x	15.1x	12.0x	2.1x	2.0x	1.6x	35.2x	38.5x	23.2x		
1st Quartile				20.0x	11.8x	9.4x	1.4x	1.3x	1.1x	17.6x	38.1x	21.4x		
3rd Quartile				30.2x	18.4x	14.5x	2.9x	2.7x	2.2x	52.7x	39.0x	25.0x		
Vietnam														
PT GoTo Gojek Tokopedia Tbk (IDX:GOTO)				31.6x	41.6x	21.7x	2.9x	2.8x	2.4x	-	-	86.3x		
Sea Limited (NYSE:SE)				35.3x	21.8x	17.1x	3.6x	3.4x	2.7x	70.3x	39.4x	26.8x		
Average				33.5x	31.7x	19.4x	3.3x	3.1x	2.6x	35.2x	19.7x	56.6x		
Median				33.5x	31.7x	19.4x	3.3x	3.1x	2.6x	35.2x	19.7x	56.6x		
1st Quartile				32.5x	26.7x	18.2x	3.1x	3.0x	2.5x	17.6x	9.9x	41.7x		
3rd Quartile				34.4x	36.6x	20.5x	3.4x	3.3x	2.7x	52.7x	29.6x	71.4x		

WACC Summary										
Assumptions										
Risk Free Rate ⁽¹⁾	Country/Region	Yield								
Tax Rate	USA	4.08%								
		21.5%								
WACC Calculation										
Capital Structure		D/E Ratio	%Debt	%Equity	After-Tax COD	COE	WACC	Weightage (%)		
Target Capital Structure - Current D/E		2.1%	2.0%	98.0%	11.68%	10.43%	10.46%	50%		
Target Capital Structure - Median Comps D/E		23.6%	19.1%	80.9%	11.68%	10.43%	10.67%	50%		
WACC									10.56%	
Cost of Debt										
Synthetic Rating Method										
ICR Calculation	Historical (31 Dec)					Forecasted (31 Dec)				
	FY20A	FY21A	FY22A	FY23A	FY24A	FY25E	FY26E	FY27E	FY28E	FY29E
EBIT	(1,287.0)	(1,843.0)	(1,560.0)	(360.0)	19.0	167.0	375.2	675.7	1,099.0	1,687.6
Interest Expense	(1,448.0)	(1,701.0)	(166.0)	(99.0)	(106.0)	(23.8)	(21.1)	(21.1)	(21.1)	(20.9)
Interest Coverage Ratio	(0.9)x	(1.1)x	(9.4)x	(3.6)x	0.2x	7.0x	17.8x	32.0x	52.0x	80.6x
Risk-Free Rate - US 10Y Government Bond Yield	4.08%									
Average ICR	(3.0)x	Synthetic Credit Rating	Rating	Default Risk Spread	Weight					
Synthetic Credit Rating	D2/D		D2/D	19.0%	50.0%					
Actual Credit Rating	BB-/Ba3		BB-/Ba3	2.6%	50.0%					
Default risk spread - Damodaran's Estimates	10.81%	Final Risk Spread	10.8%							
Pre-Tax Cost of Debt	14.88%									
Tax Rate	21.5%									
After-Tax Cost of Debt	11.68%									
Cost of Equity										
Capital Asset Pricing Model (CAPM)										
Risk Free Rate	4.08%	Beta	Weight							
Weighted Average Beta	0.68	Levered Beta	0.68	100.0%						
Equity Risk Premium	6.28%	Regression Beta	1.03	0.0%						
Country Risk Premium	2.07%	Weighted Beta	0.68	100.0%						
Cost of Equity	10.43%									

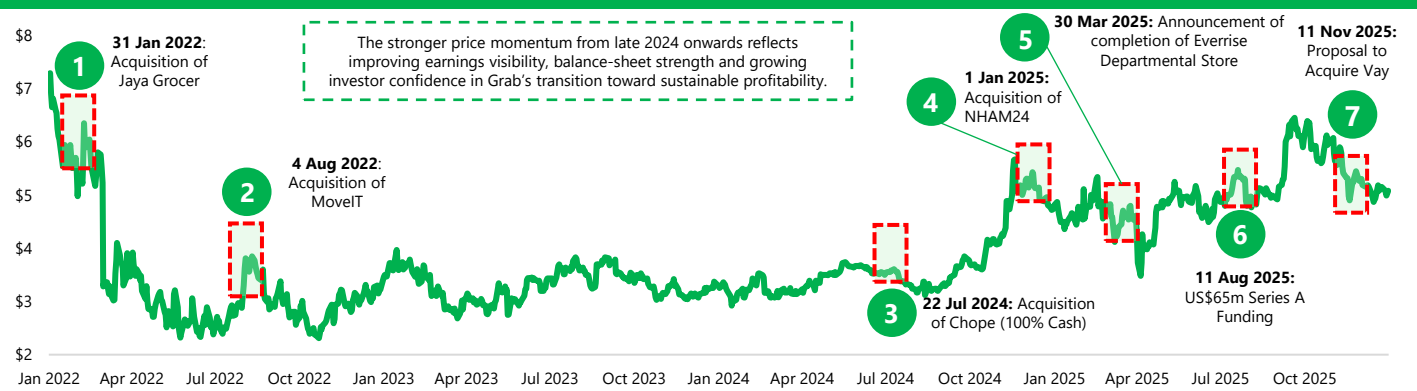
Levered Beta														
Identified Peer Group														
Deliveries			Levered Beta	BV Debt	Cost of Debt	Debt Maturity	Interest Expense	MV Debt	Market Capitalisation	D/E Ratio	Tax Rate	Unlevered Beta		
Name	Country	Ticker												
Delivery Hero SE (XTRA-DHER)	Germany	XTRA-DHER	1.69	6,610.80					6,613.60	100.0%	30.0%	0.99		
Sea Limited (NYSE:SE)	Singapore	NYSE:SE	1.58	4,124.10					81,598.10	5.1%	27.0%	1.52		
PT GoTo Gojek Tokopedia Tbk (IDX-GOTO)	Indonesia	IDX-GOTO	0.46	290.20					4,076.20	7.1%	22.0%	0.44		
Average			1.24							37.4%		0.98		
Median			1.58							7.1%		0.99		
Mobility			Levered Beta	BV Debt	Cost of Debt	Debt Maturity	Interest Expense	MV Debt	Market Capitalisation	D/E Ratio	Tax Rate	Unlevered Beta		
Name	Country	Ticker												
PT GoTo Gojek Tokopedia Tbk (IDX-GOTO)	Indonesia	IDX-GOTO	0.46	290.20					4,076.20	7.1%	22.0%	0.44		
ComfortDelGro Corporation Limited (SGX:CS2)	Singapore	SGX:CS2	0.19	1,047.20					2,404.40	43.6%	19.8%	0.14		
PT Blue Bird Tbk (IDX:BRID)	Indonesia	IDX:BRID	0.26	82.10					262.00	31.3%	22.0%	0.21		
BTS Group Holdings Public Company Limited (SET:BTS)	Thailand	SET-BTS	0.02	5,790.20					1,284.90	450.6%	50.4%	0.01		
Average			0.23							133.2%		0.20		
Median			0.23							37.4%		0.17		
Financial Services			Levered Beta	BV Debt	Cost of Debt	Debt Maturity	Interest Expense	MV Debt	Market Capitalisation	D/E Ratio	Tax Rate	Unlevered Beta		
Name	Country	Ticker												
Sea Limited (NYSE:SE)	Singapore	NYSE:SE	1.58	4,124.10					81,598.10	5.1%	27.0%	1.52		
PT GoTo Gojek Tokopedia Tbk (IDX-GOTO)	Indonesia	IDX-GOTO	0.46	290.20					4,076.20	7.1%	22.0%	0.44		
PT Bank Jago Tbk (IDX:ARTO)	Indonesia	IDX:ARTO	1.46	26.60					1,751.70	1.5%	25.5%	1.44		
DBS Group Holdings Ltd (SGX:D05)	Singapore	SGX:D05	0.30	124,739.50					119,020.60	104.8%	15.0%	0.16		
United Overseas Bank Limited (SGX:U11)	Singapore	SGX:U11	0.41	41,866.10					43,988.80	95.2%	15.1%	0.23		
PLDT Inc. (PSE:TEL)	Philippines	PSE:TEL	0.48	5,686.60					4,698.60	121.0%	23.2%	0.25		
Kasikornbank Public Company Limited (SET:KBANK)	Thailand	SET:KBANK	0.23	8,913.80					14,113.30	63.2%	19.9%	0.15		
Average			0.70							56.8%		0.60		
Median			0.46							63.2%		0.25		
Grab Holdings Limited (Nasdaq:GS:GRAB)	Singapore	Nasdaq:GS:GRAB	0.89	364.00	14.88%	2 years	(106.0)	448.4	21,497.60	2.1%	21.5%	0.88		
Revenue Split														
										Unlevered Beta:	Revenue:	Revenue Split:	D/E Ratio	
Deliveries										0.99	1,493.00	53.5%	7.1%	
Mobility										0.17	1,047.00	37.5%	37.4%	
Financial Services										0.25	253.00	9.1%	63.2%	
										Weightage (%)	Unlevered Beta	D/E Ratio	Tax Rate	Levered Beta
Capital Structure														
Target Capital Structure - Current D/E										50.0%	0.62	2.1%	21.5%	0.63
Target Capital Structure - Median Comps D/E										50.0%	0.62	23.6%	21.5%	0.73
Levered Beta														0.68

ERP, CRP & Tax Rate					
Country	Revenue (USD Mn)	Weightage (%)	Tax Rate (%)	CRP (%)	ERP (%)
Singapore	578.0	20.7%	17.0%	0.0%	4.2%
Malaysia	816.0	29.2%	24.0%	1.8%	6.0%
Indonesia	643.0	23.0%	22.0%	2.8%	7.0%
Philippines	265.0	9.5%	25.0%	2.8%	7.0%
Thailand	252.0	9.0%	20.0%	2.4%	6.6%
Vietnam	228.0	8.2%	20.0%	4.5%	8.7%
Rest of Southeast Asia	15.0	0.5%	23.4%	11.5%	15.7%
Cambodia			20.0%	8.1%	12.4%
Laos			26.9%	14.8%	19.0%
Weighted Average			21.5%	2.1%	6.3%

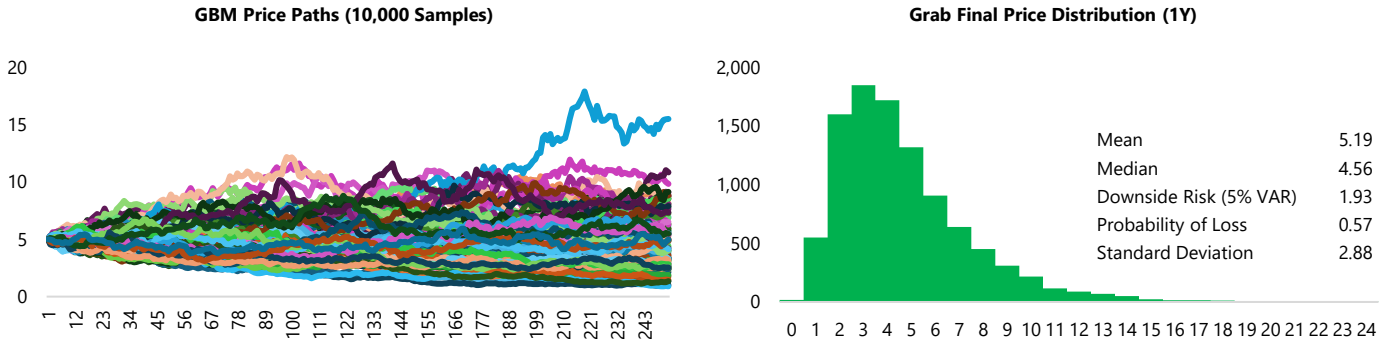
1.10 – Comparing Projections and Target Prices With the Street



1.11 – Key Events of Grab from 2022



1.12 – Statistical Analysis to Sense-Check Valuation



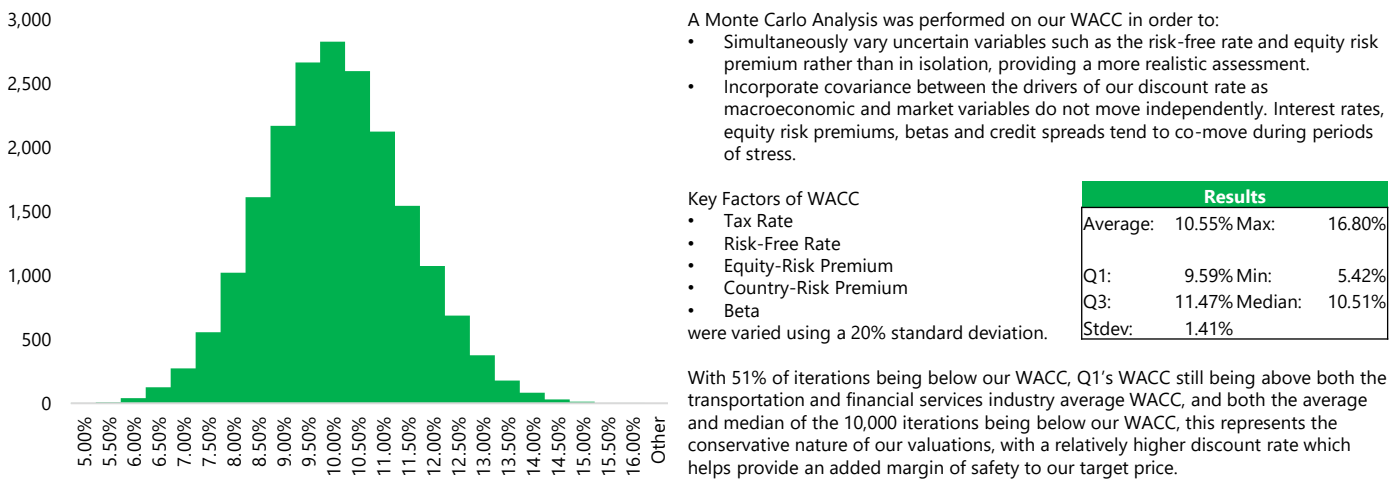
In order to complement our target price, which was derived from a blended valuation (80% DCF, 20% Relative Valuation), we ran a price-action sanity check using a Geometric Brownian Motion simulation based off Grab’s daily returns over the past 12 months. GBM assumes prices follow a lognormal process. We calculate the drift using the annualised mean of daily log returns and volatility using the annualised standard deviation from history, setting todays close as S0, and simulating 10,000 one-year paths (approximately 252 trading days).

Results: The simulated mean final price is US\$5.19, with a right skewed distribution typical of GBM (See Histogram). The 5% one-year VAR is \$1.93, implying that there is a 1 in 20 chance of having a downside outcome of \$1.93, an implied loss of \$3.06 from the starting price of \$4.99. The standard deviation of 10,000 simulations of our final price was \$2.88. On pure price action, this suggests that 1) an upside move from Grab’s current prices are highly feasible 2) our overall 12 month target price, which remains within the upper quartile of Grab’s simulated prices, is feasible under recent volatility and drift.

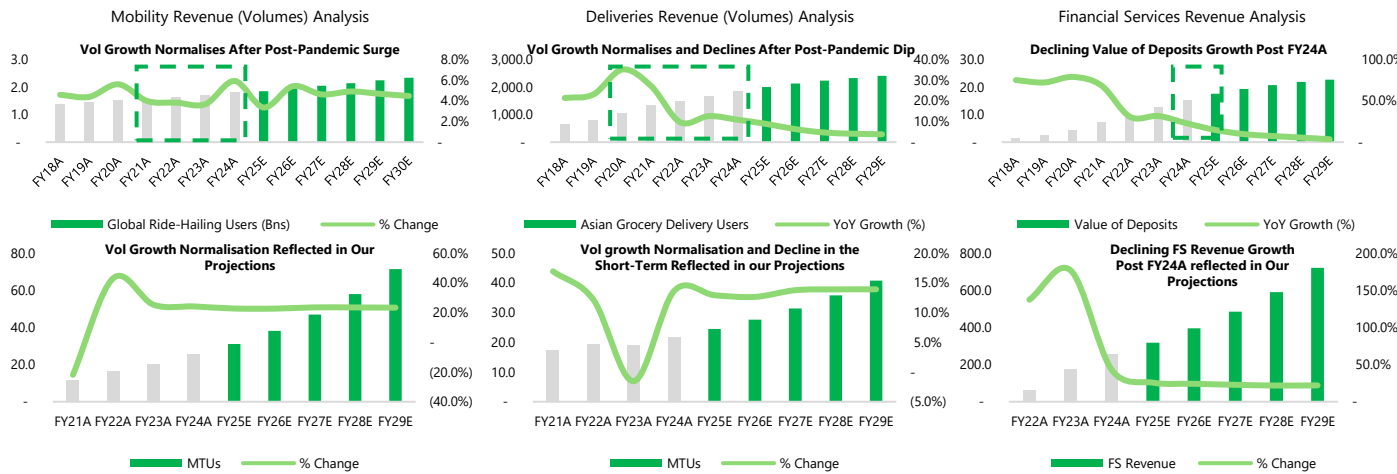
Read-Through To Target Price: Our fundamental (DCF only) target price of \$8.12, using a 50-50 split between the Gordon Growth (\$5.47) and Exit Multiple Method (\$10.77) sits slightly over the upper quartile (\$8.07). This is consistent with our thesis regarding robust tourism spending growth, ride-hailing’s growth as a percentage of total transportation, Grab’s reduction of incentives as a percentage of GMV and their innovative investments which drive incremental cost savings. Our relative valuation (EV/CY+1 EBITDA) provides an external market anchor that helps bound this upside.

Interpretation: Our GBM simulation is not a driver of the target price, it is a sanity check on the feasibility of the target price under recent (last 12 months) trading dynamics. It doesn’t incorporate changes in fundamentals, competitive behaviour, regulations or macroeconomic shocks due to its backward-looking nature. As such, we view the simulation as supportive of our base case rather than determinative, with the DCF remaining the binding anchor and the relative valuation providing market-consistent guardrails.

1.13 – Sensitivity Analysis to Sense-Check Our WACC

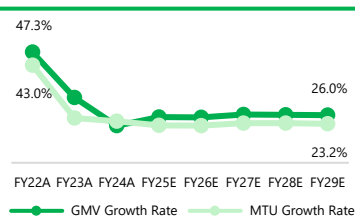


1.14 – Revenue Analysis and Benchmarking Against Industry Averages to Sense-Check Our Projections



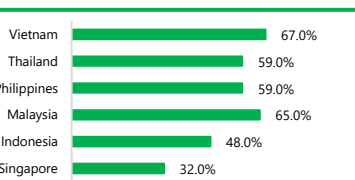
2. Why has the market not factored in our investment thesis and reached our target price yet?

Figure A2.1: Mobility GMV vs MTU Growth Rate (%)



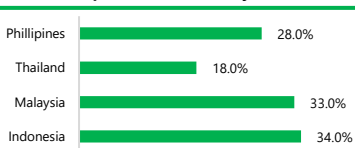
Source: Company Disclosures, Team Analysis

Figure A2.2: Grab Tourist Penetration (%)



Source: Company Disclosures, Team Analysis

Figure A2.3: Consumer Satisfaction with Public Transport in Their Country



Source: Company Disclosures, Team Analysis

Cyclical Normalization vs Structural Expansion: The market currently does not view tourism as a material growth lever capable of meaningfully driving MTU growth. Market commentary, including from JPMorgan, expects more affordable mobility and delivery offerings alongside an increased strategic emphasis on GrabMart to be the primary drivers of incremental MTU growth. However, our Revenue Weighted Tourism Spending Growth indicates even after normalization, the growth rate will remain at a robust 9.1% in FY29E. **Mobility GMV has consistently outgrown MTUs (Figure A2.1)**, indicating a mix shift toward higher-value, necessity-driven trips on top of user expansion. Tourism driven demand represents a more price insensitive cohort, which we anticipate will lift GMV without proportionally increasing MTUs, CAC, or promotional intensity. Notably, the recent 14% YoY increase in MTUs and 27% YoY growth in transaction frequency were achieved without higher incentives, driven predominantly by higher ride frequencies and repeat usage rather than price increases. **Mobility will remain a predominantly volume-driven business with limited pricing power**, where growth is driven by higher usage intensity rather than fare inflation. In this context, we see tourism-led demand as a meaningful incremental contributor. Data from Grab indicates that tourists spend roughly 2x more on Grab's mobility services than local users, with around 57% continuing to use Grab when travelling within Southeast Asia, underscoring strong cross-border stickiness. Grab's penetration among tourists is already robust, particularly in **Tier-2 cities**, where public transport infrastructure remains underdeveloped (Figure A2.2). Tourist usage penetration stands at 48% in Indonesia and 55% in Malaysia, compared with 32% in Singapore, highlighting greater reliance on ride-hailing in less transit-dense markets. With Grab's recent enhancements to its in-app offerings tailored for tourists, alongside our expectation of sustained tourism growth across Southeast Asia and limited medium-term improvement in public transport infrastructure, tourism represents a structurally growing, higher-margin, low CAC consumer segment that Grab is well positioned to capture.

Market Skepticism vs Efficiency Upside: The efficiency upside from autonomous solutions remains underpriced as the market is still unconvinced that Southeast Asia has structurally exited incentive-led competition. Despite clear signs of competitive rationalisation—Grab's incentive spend declining from 13.8% of ODS GMV in FY20A to 9.8% in FY24A, and Gojek cutting consumer incentives from ~17.0% in FY23A to ~5.5% in FY24A, the sell-side continues to assume that margin gains remain vulnerable to a re-acceleration of price wars. As a result, efficiency initiatives are framed as upside but not durable. Maybank characterises the likely impact on Grab as "positive" but "not anytime soon," with benefits treated as blue-sky NPV rather than near-term margin accretion. Market caution is reinforced by Grab's disclosure that AVs remain ~20–30% more expensive than human drivers and may face regulatory friction, leading sell-side houses to view autonomous and inorganic investments as near-term margin drag. However, precedent suggests this skepticism is overstated: **Uber's operating margin expanded from 3.2% in FY23A to 9.0% in FY24A** following its Waymo rollout, while **Meituan's net income margin rose from 5.0% in FY23A to 9.8% in FY24A** after scaling drone delivery (Annex 4.7.4), illustrating how margins can inflect rapidly once operating leverage and utilisation thresholds are reached.

Competitive Saturation vs Structural Mobility Expansion: The Street (Maybank, Philips, Mizuho) attributes Grab's mobility MTU growth to innovation, affordability, and easing competition, but underprices the structural shift in the transportation landscape to include private ride-hailing as core transport infrastructure rather than a premium, discretionary service. This omission is material, as affordability tiers and tourism-driven longer-distance trips expand Grab's total addressable mobility demand beyond the ride-hailing competitive set. Operating metrics hint at a 'bigger pie' story as Grab's recent growth is driven primarily by more transactions with On-Demand GMV up ~20% alongside MTUs up 17% YoY, with GMV per MTU staying roughly flat, illustrating that the market is expanding through volume rather than monetization. Crucially, Grab is not merely fighting for taxi or incumbent ride-hailing share; it is increasingly replacing private car ownership and supplementing structurally inadequate public transit systems. In Singapore, private car ownership is structurally declining from 33.2% in FY20A to a projected 31.6% in FY29E due to sustained policy pressure, forcing a permanent migration of users into the ride-hailing ecosystem. In key growth markets, public transport satisfaction is abysmal, at just 18% in Thailand and 28% in the Philippines, creating an infrastructure gap that positions ride-hailing as an essential mobility service rather than a discretionary alternative (Figure A2.3).

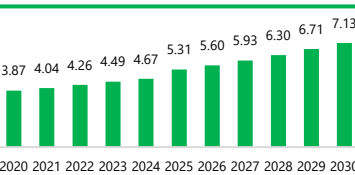
3. If someone makes an opposite pitch, what would be the thesis for them and why doesn't the opposite thesis negate our thesis?

Figure A3.1: Access to All-Season Road Within 2km (Indonesia)



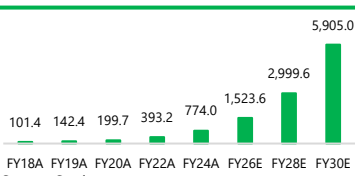
Source: Indonesia Green Road Profile

Figure A3.2: Rising Disposable Income across Southeast Asia (US\$ Thousands)



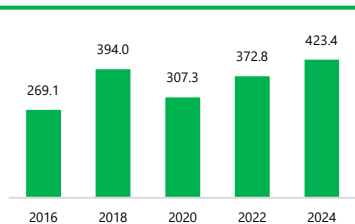
Source: Statista

Figure A3.3: Drone Package Delivery Market Size in APAC (US\$ Millions)



Source: Statista

Figure A3.4: Government Budget for Infrastructure (Indonesia) (IDR Trns)



Source: Statista

Counter Thesis: Grab's Growth Is Constrained to Tier-1 City Saturation and Structural Barriers to Rural Expansion

Demand is Still Urban Centric: Growth remains heavily concentrated in Tier-1 cities, with structural constraints limiting scalable expansion into rural markets. Grab's business model performs best in dense urban environments, where high population density, frequent trip demand, and stronger income levels support superior unit economics. Across Southeast Asia, urbanisation rates remain relatively low outside core metropolitan areas, with urban population shares of approximately 59.2% in Indonesia, 54.0% in Thailand, and 38.2% in Vietnam, structurally capping the long-term addressable market in rural regions. Moreover, expansion to rural areas is not feasible as greater distances between destinations (Figure A3.1) drives up ride costs, which contradicts the need for lower pricing in these areas as consumers have lower income. This dynamic limits Grab's ability to achieve sustainable operating leverage in rural markets, reducing the economic attractiveness of expansion beyond Tier-1 cities.

Physical and Digital Infrastructure Outside Tier-1 Cities Remains Limited: Infrastructure quality in rural and semi-urban areas is often inadequate, creating operational challenges for mobility and on-demand logistics platforms. Poor road conditions, inconsistent connectivity, and limited mapping precision undermine route optimisation, real-time tracking, and delivery reliability, all of which are critical cost drivers for on-demand services. A high proportion of unpaved road networks in these regions further elevates per-trip costs, particularly in rural deliveries. In the Philippines, only 35.36% of roads are classified as "good", underscoring the fragility of transport infrastructure. According to the World Bank's Logistics Performance Index, Indonesia ranks 63rd out of 139 economies, with an infrastructure score of 3.0, trailing regional peers such as Malaysia (3.6) and Thailand (3.5). These shortcomings reflect a broader regional challenge, as SEA faces an estimated US\$3 trillion infrastructure investment gap through 2040, keeping operating frictions elevated and constraining Grab's ability to scale profitably beyond core urban markets.

Lower purchasing power and price sensitivity: This constraint is further reinforced by income dynamics outside Tier-1 cities. Even if Grab expands beyond core urban markets, lower disposable incomes materially cap pricing power while operating costs remain structurally elevated due to longer travel distances, weaker infrastructure, and lower demand density. As a result, Grab's unit economics in rural and semi-urban areas remain inherently challenging, with limited ability to raise fares, expand take rates, or drive adoption of higher-margin premium services. This mismatch between revenue potential and cost structure compresses margins and increases reliance on incentives to stimulate demand and maintain driver supply, supporting GMV growth but diluting profitability. Consequently, expansion into rural markets offers limited value creation and reinforces Grab's dependence on dense, higher-income urban centres as the primary driver of sustainable, margin-accretive growth.

Why doesn't this negate our theses?

Overall economic growth in SEA: Southeast Asia's economic growth is becoming increasingly broad-based (Annex 4.7.2) rather than purely concentrated in major urban centres, supported by rising disposable incomes (Figure A3.2), continued infrastructure investment, and steady improvements in digital connectivity across Tier-2 cities and rural regions. Government-led spending on transport networks, logistics corridors, and telecommunications is gradually narrowing the rural-urban gap, while greater smartphone penetration and mobile internet access are expanding participation in the digital economy beyond Tier-1 cities (Figure 9). As the middle class grows (Figure 27) and purchasing power improves, consumer behaviour in these regions will shift toward adoption of convenience-oriented services like on-demand mobility, food and parcel delivery, and digital payments. This evolution creates incremental, underpenetrated demand for Grab's core services. Over time, the structural uplift in economic activity should allow Grab to monetise latent demand in non-Tier-1 markets through organic adoption and ecosystem expansion, reducing reliance on aggressive subsidies and supporting a more sustainable path to growth outside core urban centres.

Autonomous Solutions: Grab's investments in autonomous delivery solutions, including drones, materially improve the unit economics and feasibility of expansion into rural and semi-urban areas. With the ability to bypass weak road networks and difficult terrain, drones mitigate infrastructure constraints that typically drive longer delivery times and higher costs in non-urban regions. Automation also reduces reliance on human couriers, lowering labour intensity and incentive spending necessary in rural markets where driver supply can be lacking. With strong growth expected in the Drone Package Delivery Market (Figure A3.3), we expect Grab to actively and rapidly scale its investments to support drone adoption. This creates a pathway for Grab to move beyond traditional urban constraints, allowing incremental TAM expansion without proportionate cost increases and supporting a more sustainable path to profitability outside Tier-1 cities.

Improved Rural Investment Commitments: Improving rural infrastructure has become an explicit policy priority across Southeast Asia, reinforced by election pledges and national development plans. (Figure A3.4). In Indonesia, incumbent President Prabowo's campaign emphasised expanded commitments to rural housing and connectivity, alongside incremental investment in national road and digital infrastructure on top of existing infrastructure appropriations. In Vietnam, government strategies aim for nationwide fibre-optic coverage and near-universal 5G access by 2030, explicitly targeting non-urban regions. The Philippines has similarly prioritised provincial and rural transport infrastructure, focusing on roads, bridges, and digital connectivity beyond Metro Manila. Collectively, these initiatives demonstrate sustained political commitment to narrowing the urban-rural gap, gradually improving road access, connectivity, and service reliability in non-Tier-1 regions. With 4G coverage now exceeding 90% across most SEA markets and approximately 65% of populations living within 2 km of paved roads, we expect these improvements to support Grab's expansion and network enhancement beyond Tier-1 cities.

4.1 SWOT Analysis

Strengths

Grab leads SEA's ride-hailing and food delivery markets, with its integrated super-app driving strong user stickiness and cross-segment monetisation. Localised operations deep partnerships and high switching costs support rapid scaling and durable competitive advantages, while platform synergies and AI-driven pricing and route optimisation continue to improve unit economics, underpinning EBITDA profitability achieved in 2024.

Weaknesses

Despite efficiency gains, Grab's delivery segment faces margin pressure due to competitive pricing and partner incentives. Its gig-worker dependent model exposes it to regulatory and reputational risks related to labour classification, benefits and income stability. Grab is also concentrated in SEA, making it vulnerable to regional economic downturns or policy shifts.

Opportunities

GrabFin has emerged as a growth engine, reaching 4.5 million previously unbanked users. Scaling this ecosystem across SEA's approximately 290 million unbanked adults offers massive long-term potential. Advertising is projected to rise from 1.7% to about 3-4% of GMV according to Bloomberg Intelligence. AI and predictive analytics can also enhance scalability and efficiency. Finally, Grab's carbon reporting and electrification roadmap align with ASEAN Green Finance Frameworks, opening access to ESG-linked credit lines and investor capital.

Threats

Rivals such as GoTo and Foodpanda continue to expand subsidies and loyalty programmes aggressively, which could intensify competitive pressure and erode Grab's market share in key verticals. Inflation, currency depreciation and weak consumer demand in emerging Southeast Asian economies can reduce spending on mobility and delivery services. Furthermore, as Grab scales its fintech and advertising offerings, it faces increased exposure to data security, cyber-risk and digital trust issues, which could weigh on user confidence and invite heightened regulatory scrutiny

Source: Team Analysis

4.2 Executive Perspectives (Expert Interview): Interview with GXS Leadership



Jenn Ong,
Head of Retail
Banking at
GXS Bank

Source: Team Analysis

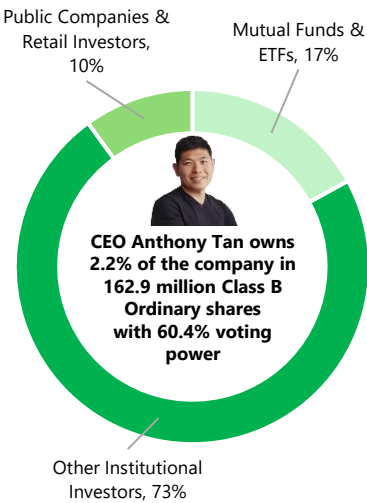
Q1: How does the Grab/GXS partnership benefit Grab?

A: GXS Bank's strategic value is enhanced by its deep integration within Grab's super-app ecosystem. Leveraging Grab's large base of consumers and merchants, GXS accesses rich transaction and behavioural data to improve risk assessment and price credit more efficiently. Grab's merchant and driver network further expands GXS's reach into working-capital lending, particularly in developing markets. Over time, GXS can also support internal financing for Grab's M&A activity, reducing reliance on external banks and lowering transaction costs. With Grab holding a 60% controlling stake, value creation at GXS ultimately reinforces the economics of the broader Grab ecosystem.

Q2: What are some major revenue & cost drivers for GXS

A: GXS Bank's financial performance is shaped by several key revenue and cost drivers. On the revenue side, growth is primarily supported by net interest margins and loan expansion, with further upside from extending its reach into developing markets by leveraging Grab's ecosystem to acquire and serve new customer segments. Costs, meanwhile, stem largely from salaries, system usage, and rental expenses, though the bank has entered a strong cost-reduction phase. Notably, its AI-driven automation, such as recently introduced voice bots, has enabled substantial efficiency gains, handling over 2,000 calls for collections compared to roughly 200 calls per human agent, effectively generating revenue uplift at minimal incremental cost. While credit losses may arise from loan defaults, these operational and technological efficiencies help GXS scale more sustainably.

4.3 Board of Directors & Shareholder Structure of Grab Holdings



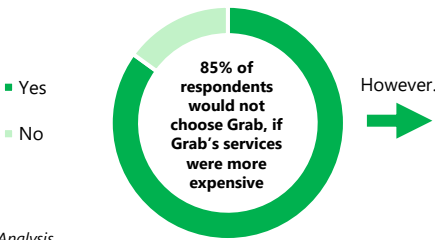
Source: Company Reports, Team Analysis

Name & Position	Background
Anthony Tan, CEO, Co-Founder and Chairman	Co-Founder of Grab (since 2012), Bachelor of Arts (Economics and Public Policy) from University of Chicago, and MBA from Harvard Business School
Dara Khosrowshahi, Independent Director	Served on the board since 2018, CEO and board member of Uber (since 2018), board member of Expedia
Laura Franco, Independent Director	Served on the board since Dec 2025, Senior Legal Executive with nearly 3 decades of experience across media, entertainment and technology
John Rogers, Independent Director	Served on the board since Dec 2021, CFO of Smith+Nephew (since Dec 2023), CFO of WPP (Feb 2020 – Nov 2023), Financial Expert
Daniel Yun, Independent Director	Previously served as the CEO of Kakao Bank (2016-2024)
Steven Tishman, Independent Director	Managing Director and Global Head of Houlihan Lokey's M&A Group (since 2012), concurrently serves as the director of boards at Acushnet Holdings Corp
Peter Oey, Chief Financial Officer & Non-Independent Director	Serves as Grab's CFO since Apr 2020, 20+ years of experience in Finance
Cheryl Goh, Group VP of Marketing and Sustainability and Non-Independent Director	Part of Grab's early founding team, leading marketing, loyalty and sustainability for the group. Board member of multiple groups such as Malaysia Aviation Group



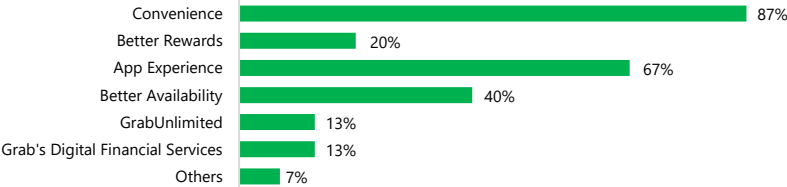
4.4 Primary Research On Consumer Preferences

Survey Question: If Grab were more expensive than other apps for the same service (ride-hailing or food delivery), would you still choose Grab?

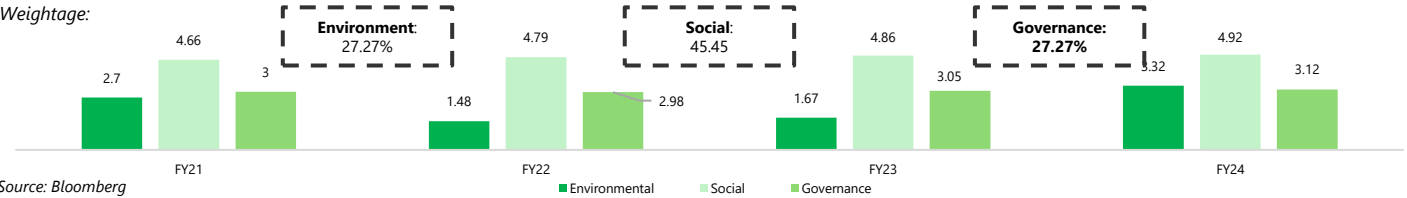


Source: Team Analysis

For the other 15%, these are the reasons why they would still choose Grab...



4.5 – ESG Ratings History



Source: Bloomberg

4.6 – Proprietary ESG Scorecard

Approach and rationale: with no universal standard for ESG reporting and Grab's unique role within its industry, ESG ratings have often varied depending on the criteria used. To develop a more accurate evaluation, we conducted a thorough analysis of ESG reports from comparable companies and industry peers. This allowed us to create a tailored scorecard, reflecting the ESG factors most relevant to Grab. Our ratings and the rationale behind the key factors used in the analysis are outlined below.

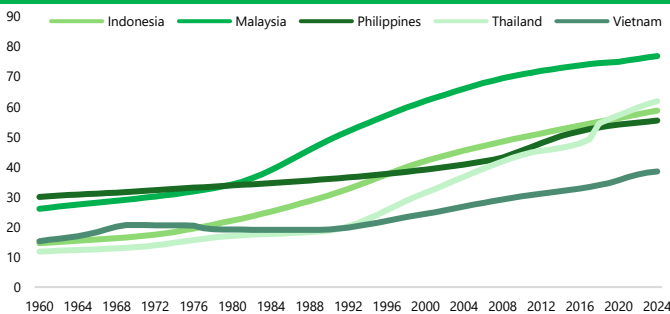
Ratings	Category	Description
0	Not Applicable	No evidence of effort or achievement related to the criterion
1	Below Standard	Some attempts made, but little progress or success in addressing the criterion
2	Basic	Shows effort with partial success in meeting the criterion
3	Meets Standard	Effort and outcomes are consistent with typical industry expectations for the criterion
4	Outstanding	Demonstrates above-average effort and notable success in achieving the criterion
5	Leader	Sets an example of excellence, innovation, and exceptional results in achieving the criterion

Source: Company Reports, Team Analysis



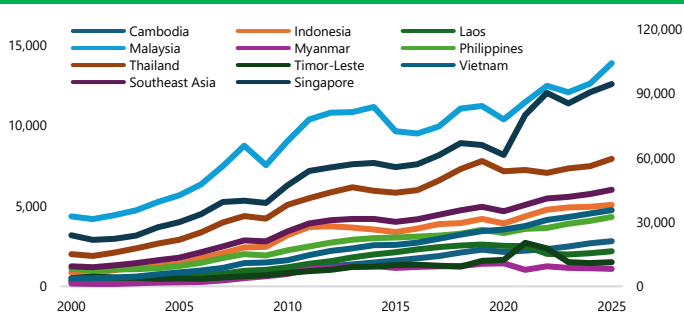
Environmental	GRAB	GOTO	UBER	ROO	SE
GHG Emissions	Uses the GHG Protocol, reporting 2,730 tonnes of CO2. Focuses on fleet decarbonisation and route efficiency	Uses the GHG Protocol, reporting 18k tCO ₂ , with a 2030 net-zero target supported by offsets and low-emission mobility.	Uses the GHG Protocol, reporting 33,000k tonnes of CO2. Targets net zero by 2040 supported by US\$800M investments in incentives	Uses the GHG Protocol, reporting 152k tonnes of CO2. Focuses on sustainable packaging and sustainable partner initiatives.	Reports about 112k tonnes of CO2 excluding full scope 3, focuses on circular packaging and sustainable logistics practices.
Grade	4	4	5	3	2
Social	GRAB	GOTO	UBER	ROO	SE
Workforce well-being, inclusion and empowerment of workers	Emphasises inclusivity, diversity and equal opportunity; signed the UN Women's Empowerment Principles and launched Women Programme Initiatives, while providing social protection coverage for over one million driver and delivery partners..	Women hold ~38% of management roles. Inclusive hiring is supported through Future Talent Initiatives, while GoPartner provides insurance, savings and coverage options, and GoAcademy delivers financial literacy training.	Targets global gender and racial pay equity; Employee Resource Groups support inclusion, mentorship and representation, while Partner Protection programmes and financial education are provided.	44% of workforce are female. Mental health support provided. Provides insurance, accident and income coverage to all active riders. A "Rider Safety Portal" and hotline was introduced for accidents and harassment response.	41% female workforce they promote digital upskilling and inclusion. Seller training and financial access programs are also provided. Community education and disaster relief efforts are also supported.
Grade	4.5	4	5	4	3
Governance	GRAB	GOTO	UBER	ROO	SE
Leadership & Accountability and oversight	ESG integration is embedded across operations, ensuring cross-functional implementation; governance features include high board independence, clear Chairman-CEO separation, and annual third-party ESG assurance.	Backed by an ESG Steering Committee chaired by the Chief Sustainability Officer. The framework promotes top down accountability. However, GoTo remains only regionally focused with less frequent external assurance than global peers.	Dedicated ESG Committee. Robust third-party assurance for ESG disclosures. 75% independent board, supported by a rigorous Global Code of Conduct, ethics hotline, and TCFD-aligned reporting	Dedicated ESG Committee. Robust third-party assurance for ESG disclosures. 75% independent board, supported by a rigorous Global Code of Conduct, ethics hotline, and TCFD-aligned reporting	Centralised sustainability oversight via a cross-functional ESG working group, with day-to-day execution led by the Group Chief Corporate Officer and Board oversight; disclosures align with TCFD and GRI
Grade	5	4	5	4	3
Average	4.5	4	5	3.3	2.7

4.7.1 – Urbanisation Rates of SEA-6 ex-Singapore



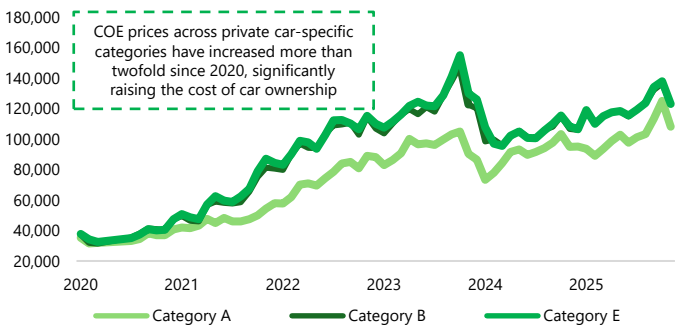
Source: WorldBank

4.7.2 – GDP per Capita for Southeast Asian Countries



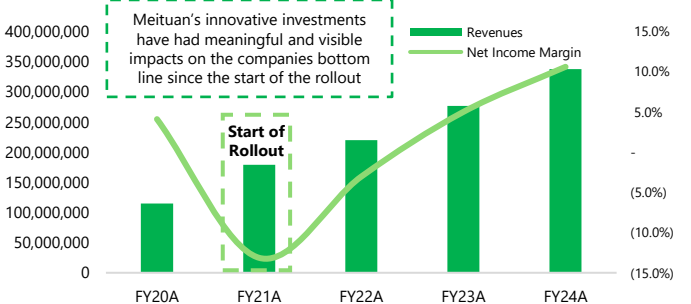
Source: WorldBank

4.7.3 – COE Prices in Singapore



Source: Land Transport Authority, Singapore

4.7.4 – Benchmarking Investments Against Meituan



Source: S&P Capital IQ, Team Analysis